

Atchison

June 2025



Atchison SMA Dynamic Strategies

Review of Investment Objectives & Asset Allocation

Illuminating
the way forward



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1 Executive Summary

Trustees utilising the Atchison SMA (Separately Managed Account), consistent with the obligation to act in the best interests of beneficiaries, are required to implement a sound investment governance framework which focuses on managing relevant risks and returns of the investment strategy.

A review the investment strategies provides recommendations on strategic asset allocation (SAA), expected return profile, time horizon, volatility, risk objective, expected behaviour under stressed scenarios, and expected liquidity profile.

Atchison will offer the choice of the following diversified investment options. Refer to Table 1 below.

Table 1: Investment Options

Investment Strategy	Growth/Defensive Allocations
Atchison Dynamic 20	20.0% Growth assets/80.0% Defensive assets
Atchison Dynamic 40	40.0% Growth assets/60.0% Defensive assets
Atchison Dynamic 55	55.0% Growth assets/45.0% Defensive assets
Atchison Dynamic 70	70.0% Growth assets/30.0% Defensive assets
Atchison Dynamic 85	85.0% Growth assets/15.0% Defensive assets
Atchison Dynamic 95	95.0% Growth assets/5.0% Defensive assets

The scope of this review has been conducted in accordance with APRA Prudential Standard 530 Investment Governance Guidelines and summarised in Table 2 below:

Table 2: The scope of this review

Investment Strategy	SAA & AAA Review	SAA Ranges	Investment Objective	Standard Risk Measure	Scenario Stress Testing	ESG Stress Testing	Liquidity Stress Testing
Atchison Dynamic 20	✓	✓	✓	✓	✓	✓	✓
Atchison Dynamic 40	✓	✓	✓	✓	✓	✓	✓
Atchison Dynamic 55	✓	✓	✓	✓	✓	✓	✓
Atchison Dynamic 70	✓	✓	✓	✓	✓	✓	✓
Atchison Dynamic 85	✓	✓	✓	✓	✓	✓	✓
Atchison Dynamic 95	✓	✓	✓	✓	✓	✓	✓

More specially, this review encompasses:

Review of Strategic Asset Allocation, Investment Objectives and Standard Risk Measures

SAA and investment objectives have been analysed on a historical and forecast basis to ascertain whether the existing SAA, asset allocation ranges, investment objectives and standard risk measure (SRM) for the investment options remain current and whether the SAA has a material detrimental consequence on member outcomes.

Unlike the previous annual review, where Alternatives (**Alternatives – Growth**) were classified entirely as 100% Growth assets, the current classification for Alternatives (**Alternatives – 50%/50% Growth/Defensive**) will be split as 50% Growth and 50% Defensive, based on the underlying manager's actual holdings.

Table 3 to 8 below provides a comparison of Atchison investment options in terms of their current investment objectives, SAA, asset class ranges, and SRMs against the Asset Consultants proposed recommendation based on this review.

Atchison Dynamic 20

Table 3: Current and recommended asset allocation of Atchison Dynamic 20

Strategic Asset Allocation (%)	Current		Recommended	
Growth/Defensive Allocation (%)	20.0/80.0	100	20.0/80.0	100

Asset Class	Current SAA(%)	Ranges(%)	Recommended SAA(%)	Ranges(%)
Alternatives - Growth	2.5	0.0-10.0	-	-
Cash	15.0	5.0-30.0	14.0	5.0-30.0
Australian Shares	7.5	5.0-15.0	7.0	5.0-15.0
International Shares	7.5	5.0-15.0	9.5	5.0-15.0
Real Assets	2.5	0.0-10.0	2.0	0.0-10.0
Alternatives	-	-	3.0	0.0-10.0
Long Duration	40.0	20.0-50.0	32.2	20.0-50.0
Floating Rate	25.0	20.0-50.0	32.2	20.0-50.0
Investment Objective	CPI + 0.5% pa over rolling 3-year periods		CPI + 1.0% pa over rolling 3-year periods	
Standard Risk Measure	Low to Medium		Low to Medium	

Conclusion

- Adopt the recommended Strategic Asset Allocation
- Adopt an investment objective of CPI + 1.0% pa over rolling 3-year periods
- Maintain the current SRM of Low to Medium
- Adopt the recommended asset ranges

Recommendation

- The above tabled recommendations to be approved
- It is also recommended that a review of SAA, investment objectives, asset class ranges and SRM be conducted in accordance with APRA Prudential Standard 530 Investment Governance on an annual basis

Atchison Dynamic 40

Table 4: Current and recommended asset allocation of Atchison Dynamic 40

Strategic Asset Allocation (%)	Current		Recommended	
Growth/Defensive Allocation (%)	40.0/60.0	100	40.0/60.0	100

Asset Class	Current SAA(%)	Ranges(%)	Recommended SAA(%)	Ranges(%)
Alternatives - Growth	5.0	2.0-10.0	-	-
Cash	10.0	5.0-25.0	9.0	5.0-25.0
Australian Shares	15.0	5.0-30.0	15.0	5.0-30.0
International Shares	15.0	5.0-30.0	18.0	5.0-30.0
Real Assets	5.0	0.0-10.0	5.0	0.0-10.0
Alternatives	-	-	4.0	2.0-10.0
Long Duration	30.0	10.0-40.0	24.5	10.0-40.0
Floating Rate	20.0	10.0-40.0	24.5	10.0-40.0
Investment Objective	CPI + 1.0% pa over rolling 5-year periods		CPI + 1.5% pa over rolling 5-year periods	
Standard Risk Measure	Medium to High		Medium	

Conclusion

- Adopt the recommended Strategic Asset Allocation
- Adopt an investment objective of CPI + 1.5% pa over rolling 5-year periods
- Adopt an SRM of Medium
- Adopt the recommended asset ranges

Recommendation

- The above tabled recommendations to be approved
- It is also recommended that a review of SAA, investment objectives, asset class ranges and SRM be conducted in accordance with APRA Prudential Standard 530 Investment Governance on an annual basis

Atchison Dynamic 55

Table 5: Current and recommended asset allocation of Atchison Dynamic 55

Strategic Asset Allocation (%)	Current		Recommended	
Growth/Defensive Allocation (%)	55.0/45.0	100	55.0/45.0	100
Asset Class	Current SAA(%)	Ranges(%)	Recommended SAA(%)	Ranges(%)
Alternatives - Growth	10.0	2.0-15.0	-	-
Cash	5.0	5.0-20.0	4.0	5.0-20.0
Australian Shares	18.0	10.0-40.0	20.0	10.0-40.0
International Shares	17.0	10.0-40.0	23.0	10.0-40.0
Real Assets	10.0	0.0-15.0	9.5	0.0-15.0
Alternatives	-	-	5.0	2.0-15.0
Long Duration	22.5	5.0-35.0	19.2	5.0-35.0
Floating Rate	17.5	5.0-35.0	19.2	5.0-35.0
Investment Objective	CPI + 2.0% pa over rolling 7-year periods		CPI + 2.0% pa over rolling 7-year periods	
Standard Risk Measure	Medium to High		Medium to High	

Conclusion

- Adopt the recommended Strategic Asset Allocation
- Maintain the current investment objective of CPI + 2.0% pa over rolling 7-year periods
- Maintain the current SRM of Medium to High
- Adopt the recommended asset ranges

Recommendation

- The above tabled recommendations to be approved
- It is also recommended that a review of SAA, investment objectives, asset class ranges and SRM be conducted in accordance with APRA Prudential Standard 530 Investment Governance on an annual basis

Atchison Dynamic 70

Table 6: Current and recommended asset allocation of Atchison Dynamic 70

Strategic Asset Allocation (%)	Current		Recommended	
Growth/Defensive Allocation (%)	70.0/30.0	100	70.0/30.0	100
Asset Class	Current SAA(%)	Ranges(%)	Recommended SAA(%)	Ranges(%)
Alternatives - Growth	12.5	10.0-15.0	-	-
Cash	5.0	2.0-10.0	4.0	2.0-10.0
Australian Shares	22.5	15.0-35.0	25.5	15.0-35.0
International Shares	22.5	15.0-35.0	29.5	15.0-35.0
Real Assets	12.5	10.0-15.0	12.0	10.0-15.0
Alternatives	-	-	6.0	5.0-20.0
Long Duration	12.5	5.0-25.0	11.5	5.0-25.0
Floating Rate	12.5	5.0-25.0	11.5	5.0-25.0
Investment Objective	CPI + 3.0% pa over rolling 8-year periods		CPI + 3.0% pa over rolling 8-year periods	
Standard Risk Measure	High		High	

Conclusion

- Adopt the recommended Strategic Asset Allocation
- Maintain the current investment objective of CPI + 3.0% pa over rolling 8-year periods
- Maintain the current SRM of High
- Adopt the recommended asset ranges

Recommendation

- The above tabled recommendations to be approved
- It is also recommended that a review of SAA, investment objectives, asset class ranges and SRM be conducted in accordance with APRA Prudential Standard 530 Investment Governance on an annual basis

Atchison Dynamic 85

Table 7: Current and recommended asset allocation of Atchison Dynamic 85

Strategic Asset Allocation (%)	Current		Recommended	
Growth/Defensive Allocation (%)	85.0/15.0	100	85.0/15.0	100
Asset Class	Current SAA(%)	Ranges(%)	Recommended SAA(%)	Ranges(%)
Alternatives - Growth	14.0	2.0-25.0	-	-
Cash	3.0	0.0-8.0	2.0	0.0-8.0
Australian Shares	31.5	20.0-55.0	34.0	20.0-55.0
International Shares	31.5	20.0-55.0	39.5	20.0-55.0
Real Assets	8.0	0.0-15.0	8.0	0.0-15.0
Alternatives	-	-	7.0	2.0-25.0
Long Duration	7.0	0.0-15.0	4.8	0.0-15.0
Floating Rate	5.0	0.0-15.0	4.8	0.0-15.0
Investment Objective	CPI + 4.0% pa over rolling 10-year periods		CPI + 4.0% pa over rolling 10-year periods	
Standard Risk Measure	High		High	

Conclusion

- Adopt the recommended Strategic Asset Allocation
- Maintain the current investment objective of CPI + 4.0% pa over rolling 10-year periods
- Maintain the current SRM of High
- Adopt the recommended asset ranges

Recommendation

- The above tabled recommendations to be approved
- It is also recommended that a review of SAA, investment objectives, asset class ranges and SRM be conducted in accordance with APRA Prudential Standard 530 Investment Governance on an annual basis

Atchison Dynamic 95

Table 8: Current and recommended asset allocation of Atchison Dynamic 95

Strategic Asset Allocation (%)	Current		Recommended	
Growth/Defensive Allocation (%)	99.0/1.0	100	99.0/1.0	100
Asset Class	Current SAA(%)	Ranges(%)	Recommended SAA(%)	Ranges(%)
Alternatives - Growth	15.0	2.0-25.0	-	-
Cash	1.0	0.0-5.0	1.0	0.0-5.0
Australian Shares	40.0	25.0-60.0	41.0	25.0-60.0
International Shares	40.0	25.0-60.0	46.0	25.0-60.0
Real Assets	4.0	0.0-15.0	4.0	0.0-15.0
Alternatives	-	-	8.0	2.0-25.0
Long Duration	0.0	0.0-10.0	0.0	0.0-10.0
Floating Rate	0.0	0.0-10.0	0.0	0.0-10.0
Investment Objective	CPI + 5.0% pa over rolling 12-year periods		CPI + 4.5% pa over rolling 12-year periods	
Standard Risk Measure	High		High	

Conclusion

- Adopt the recommended Strategic Asset Allocation
- Adopt an investment objective of CPI + 4.5% pa over rolling 12-year periods
- Maintain the current SRM of High
- Adopt the recommended asset ranges

Recommendation

- The above tabled recommendations to be approved
- It is also recommended that a review of SAA, investment objectives, asset class ranges and SRM be conducted in accordance with APRA Prudential Standard 530 Investment Governance on an annual basis

Conducting Scenario Stress Testing

Stress testing scenarios have been performed on Atchison strategies in accordance with APRA Prudential Standard SPS 530, factoring investment returns, SAA, and risk factors that have the potential to influence major asset classes and therefore have an impact on the investment performance of the investment strategy.

Conclusion

- A probability of greater than 50% is sought for an investment objective to be considered adequate. Atchison strategies would have achieved its investment objective more than 50% of the time.
- The recommended risk disclosures for all multi-asset investment options remain suitable
- The investment option ranges have been stress tested by the addition of the most volatile portfolio (P1) and the least volatile portfolio (P2) for each investment option
- Certain factors might have detrimental consequences on portfolio performance in the event of a 2 standard deviation shock.

Recommendation

As a result of this review, the trigger level has been derived as a pre-emptive flag to be monitored as part of the ongoing supervision of the investment strategy included in Appendix B.

- On a quarterly basis, the performance of the investment options is to be monitored against their trigger levels to ensure that the options maintain at least a 50% probability to achieve their respective investment objectives.
- It is recommended that the factor triggers be monitored on a quarterly basis. In the event that the trigger levels are breached, the portfolios shall be rebalanced accordingly.

Conducting ESG Stress Testing

An RSE licensee is required to consider the environmental (ESG) impacts of investments when formulating and implementing an investment strategy. APRA CPG 229 provides guidance on APRA's view of sound practice in particular areas in relation to prudent practices to climate change financial risk management.

Given the unique nature and asset allocations, the approach taken by the asset consultant to managing environmental risk is to test the Atchison multi-asset investment portfolios expected investment performance through various significant historical environmental disasters. Refer to Appendix B.

Conclusion

-
- None of the environment disasters was a significant contributor (either negative or positive) to portfolio returns, likely due to the slow impact of climate change on asset class returns and the ability to take corrective actions as and when detrimental disasters etc. occur

Recommendation

- ESG stress testing to be performed annually

Conducting Liquidity Stress Testing

The SIS Act requires an RSE licensee to consider the liquidity of investments when formulating and implementing an investment strategy, while also considering the expected cash flow requirements of the RSE.

The Atchison Administrator reports contribution flows and member exits/outflows to the Trustee and investment manager to assist in the early identification of unusual patterns.

In managing liquidity risk the following matters may be included:

- Cash flow projections and past cash flow will be prepared on a regular basis to check the liquidity level needed
- Whether there are appropriate early warning indicators of liquidity risk for the single investment of Atchison, and
- Reporting to the Research and Investment Team, Trustee Investment Committee and Board.

Conclusion

- Consideration has been given to the liquidity of the underlying investments in normal and stressed market conditions for Atchison SMA. All Alternatives components across 6 portfolios are deemed illiquid under stressed market conditions.

Recommendation

- It is recommended that cash flow requirements are closely monitored to ensure sufficient cash is available to meet liabilities as they arise

2 Introduction

The Trustees of the Atchison, consistent with the obligation to act in the best interests of beneficiaries, is required to implement a sound investment governance framework which focuses on managing relevant risks and returns of the investment strategy.

The key requirements are that the Trustee:

- Formulate specific and measurable investment objectives for the investment portfolio, including return and risk objectives;
- Develop, maintain and implement an effective due diligence process for the selection of investments;
- Determine appropriate measures to monitor and assess the performance of investments on an ongoing basis;
- Review the investment objectives and investment strategies on a periodic basis;
- Develop, maintain and implement a comprehensive investment stress testing program;
- Formulate a liquidity management plan; and
- Develop, maintain, and implement an effective valuation governance framework.

The Asset Consultant has been requested to review the strategic asset allocation (SAA) to provide the Trustee with an understanding of the expected return, time horizons, volatility, risk objective, expected behaviour under stressed scenarios, and expected liquidity.

The scope of this review has been conducted in accordance with APRA Prudential Standard 530 Investment Governance Guidelines and summarised in Table 9 below:

Table 9: The scope of this review

Investment Strategy	SAA & AAA Review	SAA Ranges	Investment Objective	Standard Risk Measure	Scenario Stress Testing	ESG Stress Testing	Liquidity Stress Testing
Atchison Dynamic 20	✓	✓	✓	✓	✓	✓	✓
Atchison Dynamic 40	✓	✓	✓	✓	✓	✓	✓
Atchison Dynamic 55	✓	✓	✓	✓	✓	✓	✓
Atchison Dynamic 70	✓	✓	✓	✓	✓	✓	✓
Atchison Dynamic 85	✓	✓	✓	✓	✓	✓	✓
Atchison Dynamic 95	✓	✓	✓	✓	✓	✓	✓

3 Review of Investment Strategies

A review of the current investment strategy and policy has been conducted. The investment objective, asset allocation and risk label have been examined.

Unlike the previous annual review, where Alternatives (**Alternatives – Growth**) were classified entirely as 100% Growth assets, the current classification for Alternatives (**Alternatives**) will be split as 50% Growth and 50% Defensive, based on the underlying manager's actual holdings.

3.1 Scenario Analysis Assumptions

Scenario analysis, on a forecast and historical basis, of annual portfolio returns and volatility of returns, growth/defensive asset allocation and probability of a negative return for Atchison has been undertaken.

Scenarios will be applied across the investment strategies based on the condition as detailed in Table 10.

Table 10: Scenarios settings

Category	Scenario 1	Scenario 2
Date Type	Before management fees and tax	Before management fees and tax
Confidence Level	95.0%	95.0%
Return and Volatility	Historical 10-year	Forecast 10-year
Correlation and methods	Historical 10-year	Historical 5-year, using Covariance Matrix
CPI	2.80%	2.75%

Value at risk is employed to measure the largest loss likely to be incurred over one year with a confidence level (varies upon scenarios). Standard Risk Measure, as per the FSC/AFSA guidelines has been derived for each investment option, and it does not account for the effects of administration fees or taxes.

Figure 1 to 12 display the asset allocation, return and risk decomposition of current SAA under various scenarios. Three bars represent the weight, return and volatility contribution of asset classes to the portfolios.

3.2 The Most Volatile and the Least Volatile Portfolios

Atchison Consultants has utilised a proxy approach for testing SAA ranges to generate:

- the most volatile portfolio for each investment option, denoted as P1. This portfolio has been structured to ensure that the allocation of assets conforms to the minimum range requirement for each asset class and growth-defensive constraints, while concurrently allocating the maximum range value to the most volatile asset classes based on forecast volatility.
- the least volatile portfolio for each investment option, denoted as P2. This portfolio has been structured to ensure that the allocation of assets conforms to the minimum range requirement for each asset class and growth-defensive constraints, while concurrently allocating the maximum range value to the least volatile asset classes based on forecast volatility.

The asset allocations and scenario analysis of P1 and P2 for each investment option are displayed in the following sections.

3.3 Analysis of Strategy: Dynamic 20

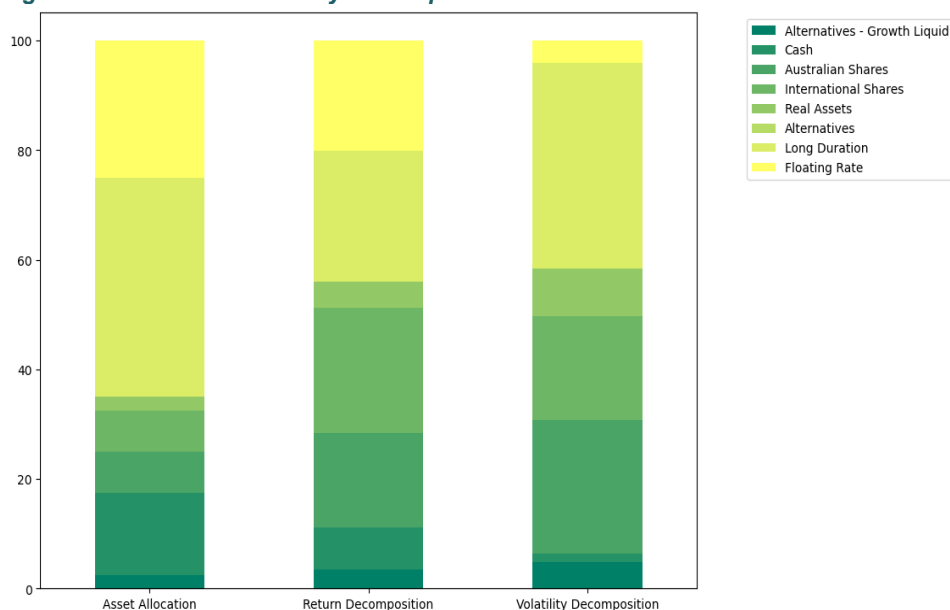
3.3.1 Analysis of Asset Allocation

Table 12 tests and demonstrates the returns, volatility of returns and the probabilities of the current SAA meeting the current / recommended investment objective of CPI + 0.5% / 1.0% pa over 3-year periods, on a historical basis, before management fees and tax.

Table 12: Scenario 1 Historical Analysis – Strategic Asset Allocations

Category	Current SAA	Recommended SAA	Most Volatile Portfolio P1	Least Volatile Portfolio P2
Asset Classes				
Alternatives - Growth(%)	2.5	0.0	0.0	10.0
Cash(%)	15.0	14.0	5.0	30.0
Australian Shares(%)	7.5	7.0	5.0	5.0
International Shares(%)	7.5	9.5	5.0	5.0
Real Assets(%)	2.5	2.0	10.0	0.0
Alternatives(%)	0.0	3.0	0.0	0.0
Long Duration(%)	40.0	32.2	50.0	20.0
Floating Rate(%)	25.0	32.2	25.0	30.0
Total	100	100	100	100
Growth(%)	20.0	20.0	20.0	20.0
Defensive(%)	80.0	80.0	80.0	80.0
Scenario Analysis				
Return(% p.a.)	4.1	4.3	4.0	3.7
Volatility(% p.a.)	3.2	3.0	4.0	2.2
Sharpe	0.61	0.74	0.47	0.76
Risk Band	4.0	3.0	5.0	2.0
Risk Level	Medium	Low to Medium	Medium to High	Low
Probability of Achieving CPI-based Return Target				
CPI+0.0%p.a. over a 1-year rolling period(%)	65.2	69.2	61.6	66.5
CPI+0.5%p.a. over a 1-year rolling period(%)	59.3	63.2	56.8	57.7
CPI+1.0%p.a. over a 1-year rolling period(%)	53.2	56.9	51.8	48.5
CPI+1.5%p.a. over a 1-year rolling period(%)	47.0	50.3	46.8	39.4
CPI+2.0%p.a. over a 1-year rolling period(%)	40.8	43.8	41.9	30.8
CPI+0.0%p.a. over a 2-year rolling period(%)	71.6	76.9	66.7	73.3
CPI+0.5%p.a. over a 2-year rolling period(%)	63.5	69.0	59.9	61.2
CPI+1.0%p.a. over a 2-year rolling period(%)	54.7	60.0	52.7	47.8
CPI+1.5%p.a. over a 2-year rolling period(%)	45.5	50.5	45.4	34.6
CPI+2.0%p.a. over a 2-year rolling period(%)	36.6	40.8	38.1	23.0
CPI+0.0%p.a. over a 3-year rolling period(%)	76.5	82.4	70.8	78.4
CPI+0.5%p.a. over a 3-year rolling period(%)	66.9	73.5	62.5	64.1
CPI+1.0%p.a. over a 3-year rolling period(%)	55.9	62.7	53.4	47.2
CPI+1.5%p.a. over a 3-year rolling period(%)	44.3	50.6	44.1	30.7
CPI+2.0%p.a. over a 3-year rolling period(%)	33.1	38.3	35.0	17.3
CPI+0.0%p.a. over a 4-year rolling period(%)	80.6	86.8	74.4	82.6
CPI+0.5%p.a. over a 4-year rolling period(%)	70.0	77.5	64.8	66.7
CPI+1.0%p.a. over a 4-year rolling period(%)	57.1	65.1	54.1	46.7
CPI+1.5%p.a. over a 4-year rolling period(%)	43.2	50.7	42.9	27.2
CPI+2.0%p.a. over a 4-year rolling period(%)	29.9	36.0	32.1	12.8
CPI+0.0%p.a. over a 5-year rolling period(%)	84.1	90.2	77.5	86.1
CPI+0.5%p.a. over a 5-year rolling period(%)	72.8	80.9	67.0	69.1
CPI+1.0%p.a. over a 5-year rolling period(%)	58.2	67.5	54.8	46.1
CPI+1.5%p.a. over a 5-year rolling period(%)	42.1	50.9	41.7	24.1
CPI+2.0%p.a. over a 5-year rolling period(%)	26.9	33.8	29.4	9.3
Annualised Value at Risk				
1 in 20 year event(%)	-1.2	-0.7	-2.6	0
Frequency of Negative Annual Total Return				
Number of Negative Annual Return in any 20-year period	2.1	1.5	3.2	0.8
Probability of a Negative Annual Return(%)	10.4	7.7	15.9	4.2

Figure 1: Return and Volatility Decomposition of Current SAA under Scenario 1



*The volatility bar did not account for the correlation among asset classes. Refer to Appendix B for Correlation Analysis.

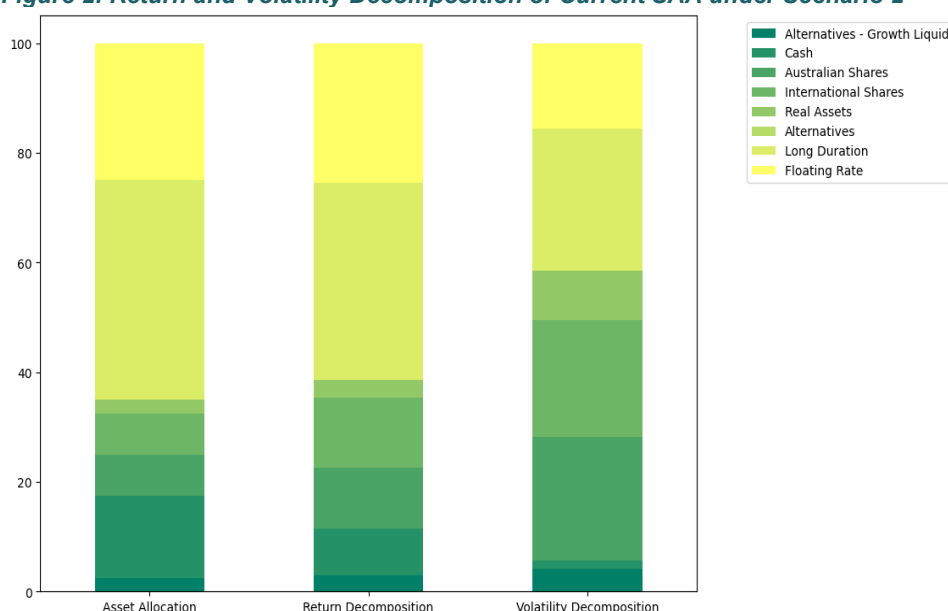
Table 13 tests and demonstrates the returns, volatility of returns and the probabilities of the current SAA meeting the current / recommended investment objective of CPI + 0.5% / 1.0% pa over 3-year periods, on a forecast basis, before management fees and tax.

Table 13: Scenario 2 Forecast Analysis – Strategic Asset Allocations

Category	Current SAA	Recommended SAA	Most Volatile Portfolio P1	Least Volatile Portfolio P2
Asset Classes				
Alternatives - Growth(%)	2.5	0.0	0.0	10.0
Cash(%)	15.0	14.0	5.0	30.0
Australian Shares(%)	7.5	7.0	5.0	5.0
International Shares(%)	7.5	9.5	5.0	5.0
Real Assets(%)	2.5	2.0	10.0	0.0
Alternatives(%)	0.0	3.0	0.0	0.0
Long Duration(%)	40.0	32.2	50.0	20.0
Floating Rate(%)	25.0	32.2	25.0	30.0
Total	100	100	100	100
Growth(%)	20.0	20.0	20.0	20.0
Defensive(%)	80.0	80.0	80.0	80.0
Scenario Analysis				
Return(% p.a.)	5.4	5.5	5.5	5.0
Volatility(% p.a.)	3.6	3.6	4.4	2.6
Sharpe	0.65	0.68	0.56	0.76
Risk Band	3.0	3.0	4.0	2.0
Risk Level	Low to Medium	Low to Medium	Medium	Low
Probability of Achieving CPI-based Return Target				
CPI+0.0%p.a. over a 1-year rolling period(%)	76.8	77.7	73.4	81.0
CPI+0.5%p.a. over a 1-year rolling period(%)	72.3	73.3	69.5	75.3
CPI+1.0%p.a. over a 1-year rolling period(%)	67.5	68.5	65.4	68.7
CPI+1.5%p.a. over a 1-year rolling period(%)	62.2	63.4	61.0	61.5
CPI+2.0%p.a. over a 1-year rolling period(%)	56.8	58.0	56.6	53.9
CPI+0.0%p.a. over a 2-year rolling period(%)	86.0	86.9	82.1	90.2
CPI+0.5%p.a. over a 2-year rolling period(%)	80.9	82.1	77.4	84.3
CPI+1.0%p.a. over a 2-year rolling period(%)	74.8	76.2	72.1	76.5
CPI+1.5%p.a. over a 2-year rolling period(%)	67.8	69.4	66.1	66.8
CPI+2.0%p.a. over a 2-year rolling period(%)	60.1	61.8	59.7	55.8
CPI+0.0%p.a. over a 3-year rolling period(%)	91.5	92.3	88.0	95.0

CPI+0.5%p.a. over a 3-year rolling period(%)	86.8	88.0	83.2	90.0
CPI+1.0%p.a. over a 3-year rolling period(%)	80.4	82.0	77.3	82.2
CPI+1.5%p.a. over a 3-year rolling period(%)	72.4	74.3	70.3	71.1
CPI+2.0%p.a. over a 3-year rolling period(%)	62.9	65.1	62.4	57.5
CPI+0.0%p.a. over a 4-year rolling period(%)	95.1	95.7	92.1	97.6
CPI+0.5%p.a. over a 4-year rolling period(%)	91.1	92.1	87.7	93.9
CPI+1.0%p.a. over a 4-year rolling period(%)	84.9	86.5	81.7	86.7
CPI+1.5%p.a. over a 4-year rolling period(%)	76.4	78.5	74.1	74.9
CPI+2.0%p.a. over a 4-year rolling period(%)	65.5	68.1	65.0	59.0
CPI+0.0%p.a. over a 5-year rolling period(%)	97.3	97.7	95.0	98.9
CPI+0.5%p.a. over a 5-year rolling period(%)	94.2	95.0	91.2	96.4
CPI+1.0%p.a. over a 5-year rolling period(%)	88.7	90.2	85.5	90.3
CPI+1.5%p.a. over a 5-year rolling period(%)	80.0	82.3	77.6	78.4
CPI+2.0%p.a. over a 5-year rolling period(%)	68.0	71.0	67.4	60.5
Annualised Value at Risk				
1 in 20 year event(%)	-0.5	-0.4	-1.7	0
Frequency of Negative Annual Total Return				
Number of Negative Annual Return in any 20-year period	1.3	1.3	2.1	0.5
Probability of a Negative Annual Return(%)	6.6	6.3	10.5	2.6

Figure 2: Return and Volatility Decomposition of Current SAA under Scenario 2



*The volatility bar did not account for the correlation among asset classes. Refer to Appendix B for Correlation Analysis.

3.3.2 Investment Strategy

The current and recommended SAA for the investment strategy has been tested against a series of CPI-based investment objectives. Specific assessment seeking to confirm that the current SAA remains acceptable and that the current investment objective is likely to be achieved.

Analysis for Scenario 1 has been conducted before management fees and tax:

- **Current SAA:** Under Scenario 1 the investment objective of CPI + 0.5%/1.0% pa over a 3-year rolling period is likely to be achieved at a 66.9%/55.9% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -1.2% for the current allocation. The level of investment risk, as captured by SRM, is Medium for the current SAA.
- **Recommended SAA:** Under Scenario 1 the investment objective of CPI + 0.5%/1.0% pa over a 3-year rolling period is likely to be achieved at a 73.5%/62.7% probability. Value at Risk upon a 1 in 20-year event (95%

probability) is expected at -0.7% for the allocation. The level of investment risk, as captured by SRM, is Low to Medium.

Analysis for Scenario 2 has been conducted before management fees and tax:

- Current SAA: Under Scenario 2 the investment objective of CPI + 0.5%/1.0% pa over a 3-year rolling period is likely to be achieved at a 86.8%/80.4% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -0.5% for the current allocation. The level of investment risk, as captured by SRM, is Low to Medium.
- Recommended SAA: Under Scenario 2 the current investment objective of CPI + 0.5%/1.0% pa over a 3-year rolling period is likely to be achieved at a 88.0%/82.0% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -0.4% for the allocation. The level of investment risk, as captured by SRM, is Low to Medium.

3.3.3 SAA Ranges

The licensee is required to monitor the investment ranges to enable it to identify and respond to any significant deviation from the investment strategy in a timely manner. A range that is set to be too wide or narrow would render the strategies unconstrained or ineffective.

- Under Scenario 1, the most volatile portfolio (P1) and the least volatile portfolio (P2) would achieve an SRM of Medium to High and Low respectively, while the SRM for the current SAA is Medium and for the recommended SAA is Low to Medium
- Under Scenario 2, the most volatile portfolio (P1) and the least volatile portfolio (P2) would achieve an SRM of Medium and Low respectively, while the SRM for the current and the recommended SAA is Low to Medium

As reviewed above, market fluctuations would have a modest impact on the investment strategy. For detailed stress testing analysis of P1 and P2, refer to Appendix B.

3.3.4 Recommendations

- Adopt the recommended Strategic Asset Allocation
- Adopt an investment objective of CPI + 1.0% pa over rolling 3-year periods
- Maintain the current SRM of Low to Medium

3.4 Analysis of Strategy: Dynamic 40

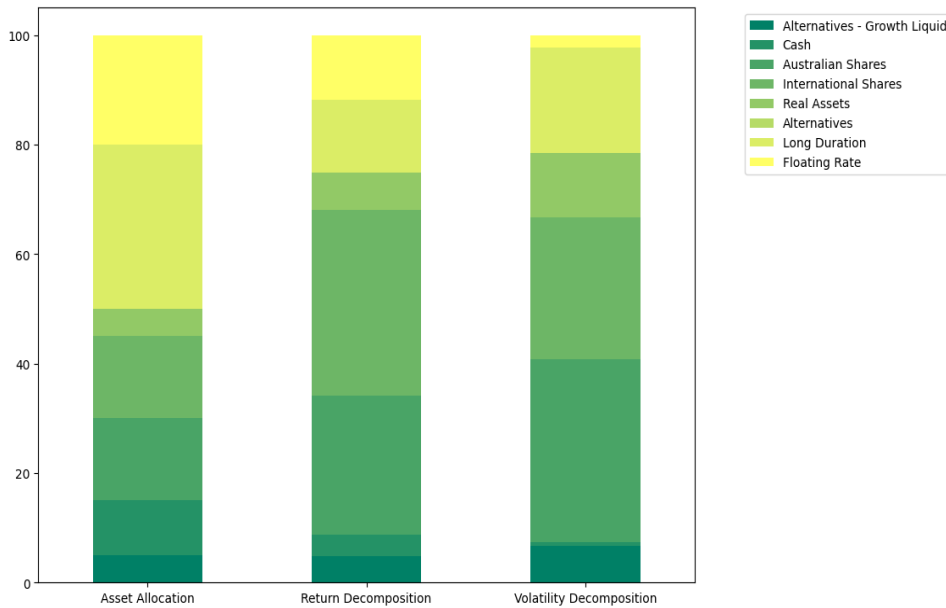
3.4.1 Analysis of Asset Allocation

Table 14 tests and demonstrates the returns, volatility of returns and the probabilities of the current SAA meeting the current / recommended investment objective of CPI + 1.0% / 1.5% pa over 5-year periods, on a historical basis, before management fees and tax.

Table 14: Scenario 1 Historical Analysis – Strategic Asset Allocations

Category	Current SAA	Recommended SAA	Most Volatile Portfolio P1	Least Volatile Portfolio P2
Asset Classes				
Alternatives - Growth(%)	5.0	0.0	2.0	10.0
Cash(%)	10.0	9.0	5.0	25.0
Australian Shares(%)	15.0	15.0	23.0	5.0
International Shares(%)	15.0	18.0	5.0	23.0
Real Assets(%)	5.0	5.0	10.0	0.0
Alternatives(%)	0.0	4.0	2.0	2.0
Long Duration(%)	30.0	24.5	40.0	10.0
Floating Rate(%)	20.0	24.5	13.0	25.0
Total	100	100	100	100
Growth(%)	40.0	40.0	41.0	39.0
Defensive(%)	60.0	60.0	59.0	61.0
Scenario Analysis				
Return(% p.a.)	5.5	5.9	5.3	5.6
Volatility(% p.a.)	4.9	5.0	5.9	3.8
Sharpe	0.70	0.76	0.54	0.92
Risk Band	4.0	4.0	5.0	3.0
Risk Level	Medium	Medium	Medium to High	Low to Medium
Probability of Achieving CPI-based Return Target				
CPI+0.5%p.a. over a 3-year rolling period(%)	80.2	83.7	73.7	87.2
CPI+1.0%p.a. over a 3-year rolling period(%)	74.5	78.7	68.3	81.4
CPI+1.5%p.a. over a 3-year rolling period(%)	68.0	72.8	62.5	74.0
CPI+2.0%p.a. over a 3-year rolling period(%)	60.9	66.2	56.2	65.4
CPI+2.5%p.a. over a 3-year rolling period(%)	53.2	58.9	49.8	55.8
CPI+0.5%p.a. over a 4-year rolling period(%)	84.7	88.2	77.8	91.4
CPI+1.0%p.a. over a 4-year rolling period(%)	78.7	83.2	71.8	85.9
CPI+1.5%p.a. over a 4-year rolling period(%)	71.5	76.9	65.0	78.3
CPI+2.0%p.a. over a 4-year rolling period(%)	63.1	69.4	57.6	68.5
CPI+2.5%p.a. over a 4-year rolling period(%)	53.9	60.8	49.8	57.0
CPI+0.5%p.a. over a 5-year rolling period(%)	88.4	91.7	81.4	94.5
CPI+1.0%p.a. over a 5-year rolling period(%)	82.5	87.0	75.0	89.6
CPI+1.5%p.a. over a 5-year rolling period(%)	74.7	80.7	67.4	82.0
CPI+2.0%p.a. over a 5-year rolling period(%)	65.3	72.5	58.9	71.4
CPI+2.5%p.a. over a 5-year rolling period(%)	54.6	62.7	49.7	58.2
CPI+0.5%p.a. over a 6-year rolling period(%)	91.4	94.4	84.6	96.6
CPI+1.0%p.a. over a 6-year rolling period(%)	85.8	90.2	78.0	92.6
CPI+1.5%p.a. over a 6-year rolling period(%)	77.8	84.0	69.8	85.4
CPI+2.0%p.a. over a 6-year rolling period(%)	67.5	75.5	60.2	74.3
CPI+2.5%p.a. over a 6-year rolling period(%)	55.3	64.7	49.7	59.5
CPI+0.5%p.a. over a 7-year rolling period(%)	93.8	96.4	87.4	98.1
CPI+1.0%p.a. over a 7-year rolling period(%)	88.7	92.9	80.8	94.9
CPI+1.5%p.a. over a 7-year rolling period(%)	80.7	87.1	72.1	88.4
CPI+2.0%p.a. over a 7-year rolling period(%)	69.7	78.4	61.5	77.1
CPI+2.5%p.a. over a 7-year rolling period(%)	56.0	66.6	49.6	60.8
Annualised Value at Risk				
1 in 20 year event(%)	-2.6	-2.3	-4.4	-0.7
Frequency of Negative Annual Total Return				
Number of Negative Annual Return in any 20-year period	2.6	2.4	3.7	1.4
Probability of a Negative Annual Return(%)	13.1	11.9	18.5	7.1

Figure 3: Return and Volatility Decomposition of Current SAA under Scenario 1



*The volatility bar did not account for the correlation among asset classes. Refer to Appendix B for Correlation Analysis.

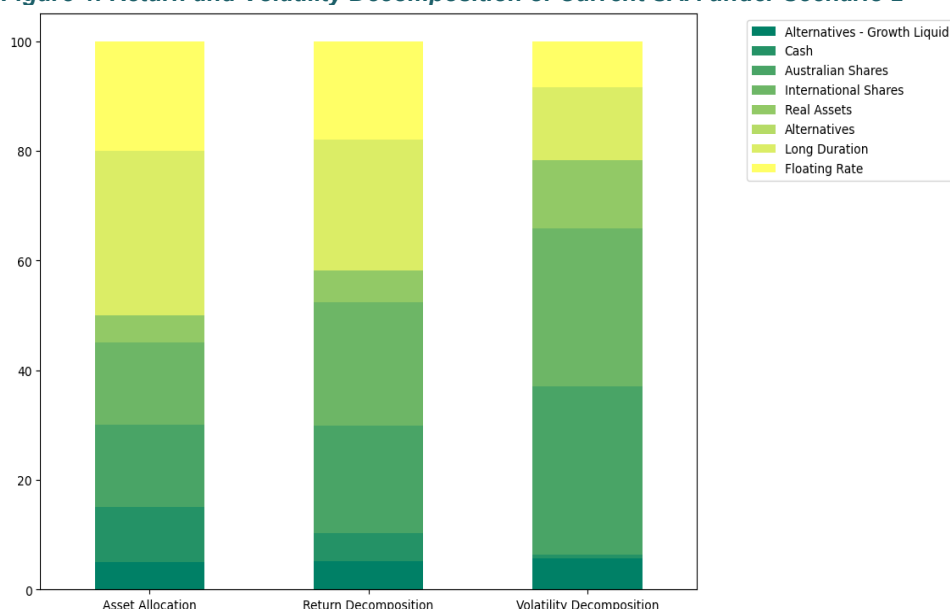
Table 15 tests and demonstrates the returns, volatility of returns and the probabilities of the current SAA meeting the current / recommended investment objective of CPI + 1.5% pa over 5-year periods, on a forecast basis, before management fees and tax.

Table 15: Scenario 2 Forecast Analysis – Strategic Asset Allocations

Category	Current SAA	Recommended SAA	Most Volatile Portfolio P1	Least Volatile Portfolio P2
Asset Classes				
Alternatives - Growth(%)	5.0	0.0	2.0	10.0
Cash(%)	10.0	9.0	5.0	25.0
Australian Shares(%)	15.0	15.0	23.0	5.0
International Shares(%)	15.0	18.0	5.0	23.0
Real Assets(%)	5.0	5.0	10.0	0.0
Alternatives(%)	0.0	4.0	2.0	2.0
Long Duration(%)	30.0	24.5	40.0	10.0
Floating Rate(%)	20.0	24.5	13.0	25.0
Total	100	100	100	100
Growth(%)	40.0	40.0	41.0	39.0
Defensive(%)	60.0	60.0	59.0	61.0
Scenario Analysis				
Return(% p.a.)	6.1	6.2	6.0	5.9
Volatility(% p.a.)	5.5	5.8	6.4	4.6
Sharpe	0.55	0.55	0.46	0.61
Risk Band	4.0	4.0	5.0	4.0
Risk Level	Medium	Medium	Medium to High	Medium
Probability of Achieving CPI-based Return Target				
CPI+0.5%p.a. over a 3-year rolling period(%)	83.3	83.5	79.4	85.7
CPI+1.0%p.a. over a 3-year rolling period(%)	78.8	79.2	75.0	80.7
CPI+1.5%p.a. over a 3-year rolling period(%)	73.6	74.2	70.1	74.7
CPI+2.0%p.a. over a 3-year rolling period(%)	67.7	68.6	64.8	67.7
CPI+2.5%p.a. over a 3-year rolling period(%)	61.2	62.6	59.1	60.0
CPI+0.5%p.a. over a 4-year rolling period(%)	87.9	88.0	83.9	90.1
CPI+1.0%p.a. over a 4-year rolling period(%)	83.4	83.8	79.3	85.3
CPI+1.5%p.a. over a 4-year rolling period(%)	77.8	78.5	73.9	79.0
CPI+2.0%p.a. over a 4-year rolling period(%)	71.2	72.3	67.8	71.2

CPI+2.5%p.a. over a 4-year rolling period(%)	63.6	65.2	61.1	62.1
CPI+0.5%p.a. over a 5-year rolling period(%)	91.4	91.6	87.7	93.4
CPI+1.0%p.a. over a 5-year rolling period(%)	87.2	87.6	83.1	89.1
CPI+1.5%p.a. over a 5-year rolling period(%)	81.6	82.4	77.5	82.8
CPI+2.0%p.a. over a 5-year rolling period(%)	74.5	75.7	70.7	74.4
CPI+2.5%p.a. over a 5-year rolling period(%)	66.0	67.8	63.0	64.2
CPI+0.5%p.a. over a 6-year rolling period(%)	94.2	94.3	90.8	95.8
CPI+1.0%p.a. over a 6-year rolling period(%)	90.4	90.8	86.5	92.1
CPI+1.5%p.a. over a 6-year rolling period(%)	85.0	85.8	80.7	86.2
CPI+2.0%p.a. over a 6-year rolling period(%)	77.6	79.0	73.5	77.6
CPI+2.5%p.a. over a 6-year rolling period(%)	68.3	70.4	64.9	66.3
CPI+0.5%p.a. over a 7-year rolling period(%)	96.2	96.3	93.4	97.4
CPI+1.0%p.a. over a 7-year rolling period(%)	93.1	93.4	89.4	94.5
CPI+1.5%p.a. over a 7-year rolling period(%)	88.0	88.8	83.8	89.2
CPI+2.0%p.a. over a 7-year rolling period(%)	80.6	82.1	76.3	80.6
CPI+2.5%p.a. over a 7-year rolling period(%)	70.7	73.0	66.9	68.4
Annualised Value at Risk				
1 in 20 year event(%)	-3.0	-3.3	-4.5	-1.7
Frequency of Negative Annual Total Return				
Number of Negative Annual Return in any 20-year period	2.7	2.8	3.5	2.0
Probability of a Negative Annual Return(%)	13.6	14.1	17.3	10.2

Figure 4: Return and Volatility Decomposition of Current SAA under Scenario 2



*The volatility bar did not account for the correlation among asset classes. Refer to Appendix B for Correlation Analysis.

3.4.2 Investment Strategy

The current SAA for the investment strategy has been tested against a series of CPI-based investment objectives. Specific assessment seeking to confirm that the current SAA remains acceptable and that the current investment objective is likely to be achieved.

Analysis for Scenario 1 has been conducted before management fees and tax:

- **Current SAA:** Under Scenario 1 the investment objective of CPI + 1.0%/1.5% pa over a 5-year rolling period is likely to be achieved at a 82.5%/74.7% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -2.6% for the current allocation. The level of investment risk, as captured by SRM, is Medium.
- **Recommended SAA:** Under Scenario 1 the investment objective of CPI + 1.0%/1.5% pa over a 5-year rolling period is likely to be achieved at a 87.0%/80.7% probability. Value at Risk upon a 1 in 20-year event (95%

probability) is expected at -2.3% for the current allocation. The level of investment risk, as captured by SRM, is Medium.

Analysis for Scenario 2 has been conducted before management fees and tax:

- Current SAA: Under Scenario 2 the investment objective of CPI + 1.0%/1.5% pa over a 5-year rolling period is likely to be achieved at a 87.2%/81.6% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -3.0% for the current allocation. The level of investment risk, as captured by SRM, is Medium.
- Recommended SAA: Under Scenario 2 the investment objective of CPI + 1.0%/1.5% pa over a 5-year rolling period is likely to be achieved at a 87.6%/82.4% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -3.3% for the current allocation. The level of investment risk, as captured by SRM, is Medium.

3.4.3 SAA Ranges

The licensee is required to monitor the investment ranges to enable it to identify and respond to any significant deviation from the investment strategy in a timely manner. A range that is set to be too wide or narrow would render the strategies unconstrained or ineffective.

- Under Scenario 1, the most volatile portfolio (P1) and the least volatile portfolio (P2) would achieve an SRM of Medium to High and Low to Medium respectively, while the SRM for the current and the recommended SAA is Medium
- Under Scenario 2, the current SAA, the recommended SAA and the least volatile portfolio (P2) would achieve an SRM of Medium, while the SRM for the most volatile portfolio (P1) is Medium to High

As reviewed above, market fluctuations would have a modest impact on the investment strategy. For detailed stress testing analysis of P1 and P2, refer to Appendix B.

3.4.4 Recommendations

- Adopt the recommended Strategic Asset Allocation
- Adopt an investment objective of CPI + 1.5% pa over rolling 5-year periods
- Adopt an SRM of Medium

3.5 Analysis of Strategy: Dynamic 55

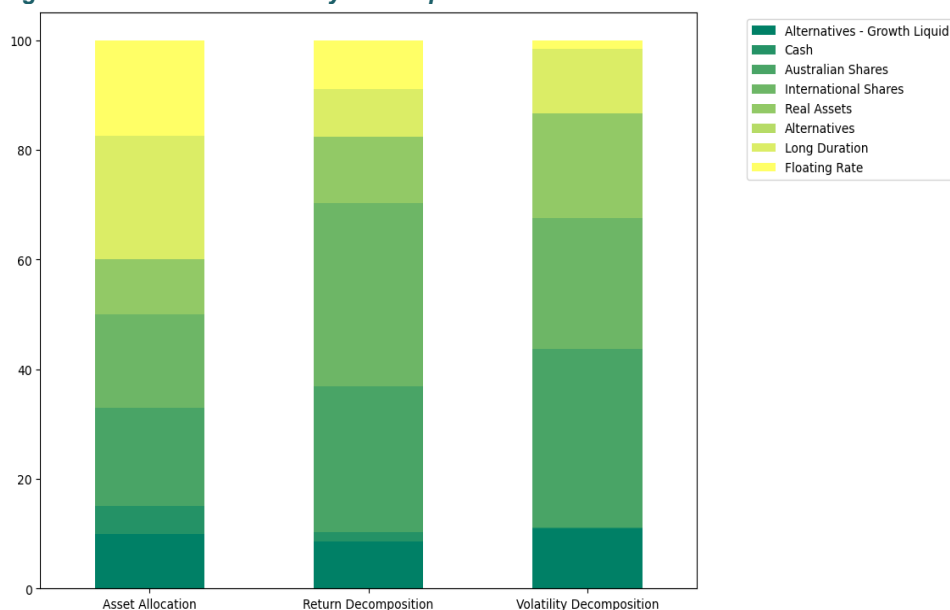
3.5.1 Analysis of Asset Allocation

Table 16 tests and demonstrates the returns, volatility of returns and the probabilities of the current SAA meeting the current stated investment objective of CPI + 2.0% pa over 7-year periods, on a historical basis, before management fees and tax.

Table 16: Scenario 1 Historical Analysis – Strategic Asset Allocations

Category	Current SAA	Recommended SAA	Most Volatile Portfolio P1	Least Volatile Portfolio P2
Asset Classes				
Alternatives - Growth(%)	10.0	0.0	2.0	15.0
Cash(%)	5.0	4.0	5.0	20.0
Australian Shares(%)	18.0	20.0	28.0	10.0
International Shares(%)	17.0	23.0	10.0	28.0
Real Assets(%)	10.0	9.5	15.0	0.0
Alternatives(%)	0.0	5.0	2.0	2.0
Long Duration(%)	22.5	19.2	33.0	5.0
Floating Rate(%)	17.5	19.2	5.0	20.0
Total	100	100	100	100
Growth(%)	55.0	55.1	56.0	54.0
Defensive(%)	45.0	44.9	44.0	46.0
Scenario Analysis				
Return(% p.a.)	6.3	7.0	6.3	6.6
Volatility(% p.a.)	6.1	6.6	7.5	5.0
Sharpe	0.69	0.74	0.57	0.89
Risk Band	5.0	4.0	5.0	3.0
Risk Level	Medium to High	Medium	Medium to High	Low to Medium
Probability of Achieving CPI-based Return Target				
CPI+1.0%p.a. over a 5-year rolling period(%)	86.8	90.9	82.2	93.3
CPI+1.5%p.a. over a 5-year rolling period(%)	81.7	87.2	77.2	89.3
CPI+2.0%p.a. over a 5-year rolling period(%)	75.4	82.4	71.5	83.5
CPI+2.5%p.a. over a 5-year rolling period(%)	67.9	76.6	65.0	75.9
CPI+3.0%p.a. over a 5-year rolling period(%)	59.5	69.7	57.9	66.6
CPI+1.0%p.a. over a 6-year rolling period(%)	90.1	93.8	85.6	95.8
CPI+1.5%p.a. over a 6-year rolling period(%)	85.2	90.5	80.5	92.4
CPI+2.0%p.a. over a 6-year rolling period(%)	78.7	86.0	74.4	87.0
CPI+2.5%p.a. over a 6-year rolling period(%)	70.6	80.0	67.2	79.3
CPI+3.0%p.a. over a 6-year rolling period(%)	61.0	72.6	59.1	69.1
CPI+1.0%p.a. over a 7-year rolling period(%)	92.8	96.0	88.6	97.5
CPI+1.5%p.a. over a 7-year rolling period(%)	88.3	93.3	83.6	94.9
CPI+2.0%p.a. over a 7-year rolling period(%)	81.8	89.2	77.3	90.1
CPI+2.5%p.a. over a 7-year rolling period(%)	73.2	83.3	69.5	82.5
CPI+3.0%p.a. over a 7-year rolling period(%)	62.5	75.5	60.4	71.6
CPI+1.0%p.a. over a 8-year rolling period(%)	95.0	97.6	91.2	98.6
CPI+1.5%p.a. over a 8-year rolling period(%)	91.0	95.5	86.5	96.7
CPI+2.0%p.a. over a 8-year rolling period(%)	84.7	91.9	80.1	92.7
CPI+2.5%p.a. over a 8-year rolling period(%)	75.8	86.4	71.8	85.5
CPI+3.0%p.a. over a 8-year rolling period(%)	64.1	78.3	61.8	74.2
CPI+1.0%p.a. over a 9-year rolling period(%)	96.6	98.6	93.4	99.3
CPI+1.5%p.a. over a 9-year rolling period(%)	93.3	97.1	89.1	98.0
CPI+2.0%p.a. over a 9-year rolling period(%)	87.4	94.2	82.8	94.9
CPI+2.5%p.a. over a 9-year rolling period(%)	78.4	89.2	74.1	88.3
CPI+3.0%p.a. over a 9-year rolling period(%)	65.8	81.2	63.2	76.8
Annualised Value at Risk				
1 in 20 year event(%)	-3.8	-3.9	-6.0	-1.7
Frequency of Negative Annual Total Return				
Number of Negative Annual Return in any 20-year period	3.0	2.9	4.0	1.9
Probability of a Negative Annual Return(%)	15.2	14.5	19.8	9.6

Figure 5: Return and Volatility Decomposition of Current SAA under Scenario 1



*The volatility bar did not account for the correlation among asset classes. Refer to Appendix B for Correlation Analysis.

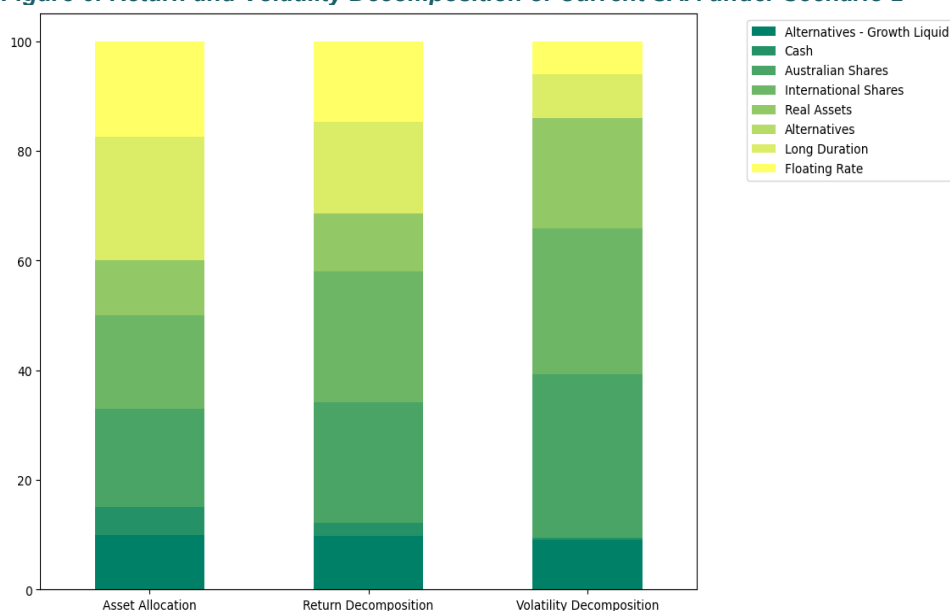
Table 17 tests and demonstrates the returns, volatility of returns and the probabilities of the current SAA meeting the current stated investment objective of CPI + 2.0% pa over 7-year periods, on a forecast basis, before management fees and tax.

Table 17: Scenario 2 Forecast Analysis – Strategic Asset Allocations

Category	Current SAA	Recommended SAA	Most Volatile Portfolio P1	Least Volatile Portfolio P2
Asset Classes				
Alternatives - Growth(%)	10.0	0.0	2.0	15.0
Cash(%)	5.0	4.0	5.0	20.0
Australian Shares(%)	18.0	20.0	28.0	10.0
International Shares(%)	17.0	23.0	10.0	28.0
Real Assets(%)	10.0	9.5	15.0	0.0
Alternatives(%)	0.0	5.0	2.0	2.0
Long Duration(%)	22.5	19.2	33.0	5.0
Floating Rate(%)	17.5	19.2	5.0	20.0
Total	100	100	100	100
Growth(%)	55.0	55.1	56.0	54.0
Defensive(%)	45.0	44.9	44.0	46.0
Scenario Analysis				
Return(% p.a.)	6.5	6.7	6.4	6.4
Volatility(% p.a.)	6.9	7.6	8.2	5.9
Sharpe	0.50	0.49	0.41	0.56
Risk Band	5.0	5.0	6.0	4.0
Risk Level	Medium to High	Medium to High	High	Medium
Probability of Achieving CPI-based Return Target				
CPI+1.0%p.a. over a 5-year rolling period(%)	86.1	86.0	81.4	88.7
CPI+1.5%p.a. over a 5-year rolling period(%)	81.5	81.8	76.8	83.9
CPI+2.0%p.a. over a 5-year rolling period(%)	75.9	76.8	71.6	77.7
CPI+2.5%p.a. over a 5-year rolling period(%)	69.4	70.9	65.7	70.2
CPI+3.0%p.a. over a 5-year rolling period(%)	62.0	64.4	59.3	61.5
CPI+1.0%p.a. over a 6-year rolling period(%)	89.4	89.3	84.8	91.8
CPI+1.5%p.a. over a 6-year rolling period(%)	84.9	85.3	80.1	87.3
CPI+2.0%p.a. over a 6-year rolling period(%)	79.2	80.1	74.5	81.1
CPI+2.5%p.a. over a 6-year rolling period(%)	72.2	73.9	68.0	73.0
CPI+3.0%p.a. over a 6-year rolling period(%)	63.9	66.6	60.8	63.3
CPI+1.0%p.a. over a 7-year rolling period(%)	92.2	92.1	87.8	94.3

CPI+1.5%p.a. over a 7-year rolling period(%)	88.0	88.4	83.2	90.3
CPI+2.0%p.a. over a 7-year rolling period(%)	82.3	83.3	77.4	84.2
CPI+2.5%p.a. over a 7-year rolling period(%)	74.9	76.8	70.4	75.9
CPI+3.0%p.a. over a 7-year rolling period(%)	65.8	68.9	62.3	65.2
CPI+1.0%p.a. over a 8-year rolling period(%)	94.5	94.4	90.5	96.2
CPI+1.5%p.a. over a 8-year rolling period(%)	90.8	91.1	86.1	92.8
CPI+2.0%p.a. over a 8-year rolling period(%)	85.3	86.3	80.2	87.1
CPI+2.5%p.a. over a 8-year rolling period(%)	77.6	79.7	72.8	78.6
CPI+3.0%p.a. over a 8-year rolling period(%)	67.8	71.2	63.9	67.1
CPI+1.0%p.a. over a 9-year rolling period(%)	96.2	96.2	92.8	97.6
CPI+1.5%p.a. over a 9-year rolling period(%)	93.1	93.4	88.7	94.9
CPI+2.0%p.a. over a 9-year rolling period(%)	88.0	89.0	82.9	89.8
CPI+2.5%p.a. over a 9-year rolling period(%)	80.3	82.5	75.2	81.3
CPI+3.0%p.a. over a 9-year rolling period(%)	69.9	73.6	65.6	69.1
Annualised Value at Risk				
1 in 20 year event(%)	-4.9	-5.7	-7.1	-3.3
Frequency of Negative Annual Total Return				
Number of Negative Annual Return in any 20-year period	3.5	3.7	4.3	2.8
Probability of a Negative Annual Return(%)	17.4	18.7	21.7	13.9

Figure 6: Return and Volatility Decomposition of Current SAA under Scenario 2



*The volatility bar did not account for the correlation among asset classes. Refer to Appendix B for Correlation Analysis.

3.5.2 Investment Strategy

The current and recommended SAA for the investment strategy has been tested against a series of CPI-based investment objectives. Specific assessment seeking to confirm that the current SAA remains acceptable and that the current investment objective is likely to be achieved.

Analysis for Scenario 1 has been conducted before management fees and tax:

- Current SAA: Under Scenario 1 the current investment objective of CPI + 2.0% pa over a 7-year rolling period is likely to be achieved at a 81.8% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -3.8% for the current allocation. The level of investment risk, as captured by SRM, is Medium to High for the current SAA.

-
- Recommended SAA: Under Scenario 1 the current investment objective of CPI + 2.0% pa over a 7-year rolling period is likely to be achieved at a 89.2% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -3.9% for the current allocation. The level of investment risk, as captured by SRM, is Medium.

Analysis for Scenario 2 has been conducted before management fees and tax:

- Current SAA: Under Scenario 2 the current investment objective of CPI + 2.0% pa over a 7-year rolling period is likely to be achieved at a 82.3% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -4.9% for the current allocation. The level of investment risk, as captured by SRM, is Medium to High for the current SAA.
- Recommended SAA: Under Scenario 2 the current investment objective of CPI + 2.0% pa over a 7-year rolling period is likely to be achieved at a 83.3% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -5.7% for the current allocation. The level of investment risk, as captured by SRM, is Medium to High for the current SAA.

3.5.3 SAA Ranges

The licensee is required to monitor the investment ranges to enable it to identify and respond to any significant deviation from the investment strategy in a timely manner. A range that is set to be too wide or narrow would render the strategies unconstrained or ineffective.

- Under Scenario 1, the current SAA and the most volatile portfolio (P1) would achieve an SRM of Medium to High, while the SRM for the least volatile portfolio (P2) is Low to Medium and the recommended SAA is Medium
- Under Scenario 2, the most volatile portfolio (P1) and the least volatile portfolio (P2) would achieve an SRM of High and Medium respectively, while the SRM for the current SAA and the recommended SAA is Medium to High

As reviewed above, market fluctuations would have a modest impact on the investment strategy. For detailed stress testing analysis of P1 and P2, refer to Appendix B.

3.5.4 Recommendations

- Adopt the recommended Strategic Asset Allocation
- Maintain the current investment objective of CPI + 2.0% pa over rolling 7-year periods
- Maintain the current SRM of Medium to High

3.6 Analysis of Strategy: Dynamic 70

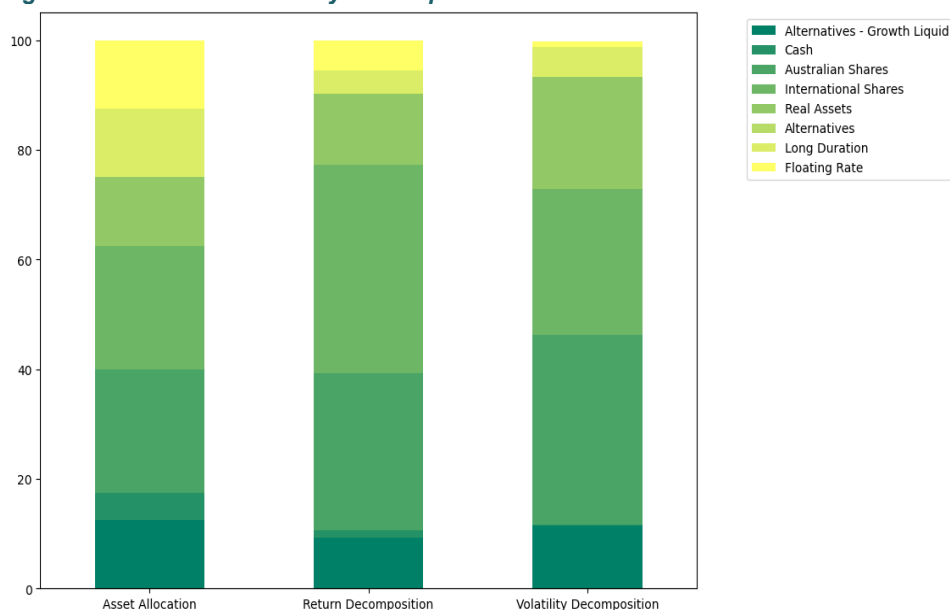
3.6.1 Analysis of Asset Allocation

Table 18 tests and demonstrates the returns, volatility of returns and the probabilities of the current SAA meeting the current stated investment objective of CPI + 3.0% pa over 8-year periods, on a historical basis, before management fees and tax.

Table 18: Scenario 1 Historical Analysis – Strategic Asset Allocations

Category	Current SAA	Recommended SAA	Most Volatile Portfolio P1	Least Volatile Portfolio P2
Asset Classes				
Alternatives - Growth(%)	12.5	0.0	10.0	15.0
Cash(%)	5.0	4.0	2.0	10.0
Australian Shares(%)	22.5	25.5	30.0	15.0
International Shares(%)	22.5	29.5	15.0	25.0
Real Assets(%)	12.5	12.0	15.0	10.0
Alternatives(%)	0.0	6.0	5.0	5.0
Long Duration(%)	12.5	11.5	18.0	5.0
Floating Rate(%)	12.5	11.5	5.0	15.0
Total	100	100	100	100
Growth(%)	70.0	70.0	72.5	67.5
Defensive(%)	30.0	30.0	27.5	32.5
Scenario Analysis				
Return(% p.a.)	7.3	8.1	7.4	7.3
Volatility(% p.a.)	7.4	8.1	8.1	6.6
Sharpe	0.71	0.74	0.65	0.79
Risk Band	5.0	5.0	5.0	4.0
Risk Level	Medium to High	Medium to High	Medium to High	Medium
Probability of Achieving CPI-based Return Target				
CPI+2.0%p.a. over a 6-year rolling period(%)	87.0	91.6	84.9	89.1
CPI+2.5%p.a. over a 6-year rolling period(%)	82.0	88.2	80.0	84.0
CPI+3.0%p.a. over a 6-year rolling period(%)	75.8	83.8	74.0	77.3
CPI+3.5%p.a. over a 6-year rolling period(%)	68.4	78.3	67.1	69.1
CPI+4.0%p.a. over a 6-year rolling period(%)	60.0	71.7	59.3	59.6
CPI+2.0%p.a. over a 7-year rolling period(%)	90.1	94.3	88.2	92.1
CPI+2.5%p.a. over a 7-year rolling period(%)	85.3	91.4	83.3	87.3
CPI+3.0%p.a. over a 7-year rolling period(%)	79.0	87.2	77.1	80.6
CPI+3.5%p.a. over a 7-year rolling period(%)	71.0	81.8	69.5	71.8
CPI+4.0%p.a. over a 7-year rolling period(%)	61.5	74.8	60.7	61.0
CPI+2.0%p.a. over a 8-year rolling period(%)	92.8	96.4	91.0	94.5
CPI+2.5%p.a. over a 8-year rolling period(%)	88.4	94.0	86.4	90.3
CPI+3.0%p.a. over a 8-year rolling period(%)	82.0	90.4	80.1	83.7
CPI+3.5%p.a. over a 8-year rolling period(%)	73.6	85.1	72.0	74.4
CPI+4.0%p.a. over a 8-year rolling period(%)	63.1	77.8	62.2	62.6
CPI+2.0%p.a. over a 9-year rolling period(%)	95.0	97.9	93.5	96.4
CPI+2.5%p.a. over a 9-year rolling period(%)	91.1	96.1	89.2	92.8
CPI+3.0%p.a. over a 9-year rolling period(%)	85.0	93.0	83.0	86.7
CPI+3.5%p.a. over a 9-year rolling period(%)	76.3	88.1	74.5	77.2
CPI+4.0%p.a. over a 9-year rolling period(%)	64.8	80.9	63.8	64.2
CPI+2.0%p.a. over a 10-year rolling period(%)	96.7	98.9	95.5	97.8
CPI+2.5%p.a. over a 10-year rolling period(%)	93.5	97.6	91.8	94.9
CPI+3.0%p.a. over a 10-year rolling period(%)	87.8	95.2	85.8	89.4
CPI+3.5%p.a. over a 10-year rolling period(%)	79.0	90.9	77.1	79.9
CPI+4.0%p.a. over a 10-year rolling period(%)	66.6	83.9	65.5	65.9
Annualised Value at Risk				
1 in 20 year event(%)	-4.9	-5.2	-6.0	-3.5
Frequency of Negative Annual Total Return				
Number of Negative Annual Return in any 20-year period	3.2	3.2	3.7	2.7
Probability of a Negative Annual Return(%)	16.2	15.8	18.3	13.4

Figure 7: Return and Volatility Decomposition of Current SAA under Scenario 1



*The volatility bar did not account for the correlation among asset classes. Refer to Appendix B for Correlation Analysis.

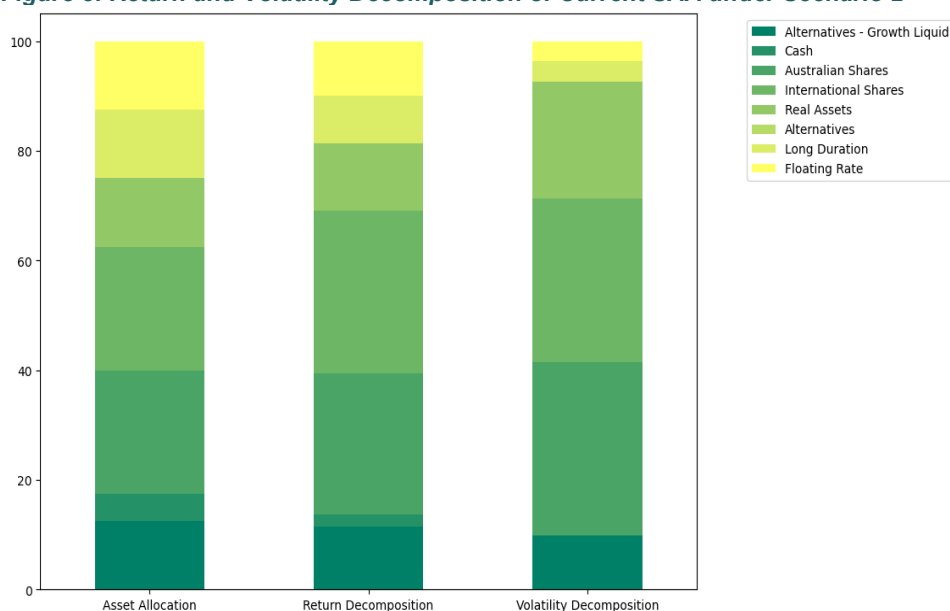
Table 19 tests and demonstrates the returns, volatility of returns and the probabilities of the current SAA meeting the current stated investment objective of CPI + 3.0% pa over 8-year periods, on a forecast basis, before management fees and tax.

Table 19: Scenario 2 Forecast Analysis – Strategic Asset Allocations

Category	Current SAA	Recommended SAA	Most Volatile Portfolio P1	Least Volatile Portfolio P2
Asset Classes				
Alternatives - Growth(%)	12.5	0.0	10.0	15.0
Cash(%)	5.0	4.0	2.0	10.0
Australian Shares(%)	22.5	25.5	30.0	15.0
International Shares(%)	22.5	29.5	15.0	25.0
Real Assets(%)	12.5	12.0	15.0	10.0
Alternatives(%)	0.0	6.0	5.0	5.0
Long Duration(%)	12.5	11.5	18.0	5.0
Floating Rate(%)	12.5	11.5	5.0	15.0
Total	100	100	100	100
Growth(%)	70.0	70.0	72.5	67.5
Defensive(%)	30.0	30.0	27.5	32.5
Scenario Analysis				
Return(% p.a.)	6.9	7.2	6.9	6.8
Volatility(% p.a.)	8.4	9.3	9.0	7.6
Sharpe	0.46	0.45	0.43	0.49
Risk Band	6.0	6.0	6.0	5.0
Risk Level	High	High	High	Medium to High
Probability of Achieving CPI-based Return Target				
CPI+2.0%p.a. over a 6-year rolling period(%)	80.1	80.6	78.2	80.7
CPI+2.5%p.a. over a 6-year rolling period(%)	74.5	75.6	72.8	74.5
CPI+3.0%p.a. over a 6-year rolling period(%)	68.0	69.9	66.6	67.3
CPI+3.5%p.a. over a 6-year rolling period(%)	60.8	63.5	59.8	59.1
CPI+4.0%p.a. over a 6-year rolling period(%)	53.0	56.6	52.5	50.4
CPI+2.0%p.a. over a 7-year rolling period(%)	83.3	83.8	81.4	83.9
CPI+2.5%p.a. over a 7-year rolling period(%)	77.5	78.7	75.7	77.5
CPI+3.0%p.a. over a 7-year rolling period(%)	70.5	72.6	68.9	69.6
CPI+3.5%p.a. over a 7-year rolling period(%)	62.4	65.5	61.3	60.5
CPI+4.0%p.a. over a 7-year rolling period(%)	53.4	57.6	52.9	50.4
CPI+2.0%p.a. over a 8-year rolling period(%)	86.3	86.8	84.4	86.8

CPI+2.5%p.a. over a 8-year rolling period(%)	80.4	81.7	78.5	80.4
CPI+3.0%p.a. over a 8-year rolling period(%)	73.0	75.3	71.3	72.0
CPI+3.5%p.a. over a 8-year rolling period(%)	64.0	67.5	62.8	61.9
CPI+4.0%p.a. over a 8-year rolling period(%)	53.9	58.7	53.3	50.5
CPI+2.0%p.a. over a 9-year rolling period(%)	89.0	89.6	87.1	89.5
CPI+2.5%p.a. over a 9-year rolling period(%)	83.2	84.6	81.3	83.2
CPI+3.0%p.a. over a 9-year rolling period(%)	75.5	78.0	73.7	74.5
CPI+3.5%p.a. over a 9-year rolling period(%)	65.8	69.7	64.4	63.4
CPI+4.0%p.a. over a 9-year rolling period(%)	54.4	59.8	53.7	50.5
CPI+2.0%p.a. over a 10-year rolling period(%)	91.5	92.0	89.7	91.9
CPI+2.5%p.a. over a 10-year rolling period(%)	85.9	87.3	84.0	85.9
CPI+3.0%p.a. over a 10-year rolling period(%)	78.0	80.7	76.1	76.9
CPI+3.5%p.a. over a 10-year rolling period(%)	67.6	71.9	66.1	64.9
CPI+4.0%p.a. over a 10-year rolling period(%)	55.0	61.0	54.2	50.6
Annualised Value at Risk				
1 in 20 year event(%)	-6.9	-8.1	-7.9	-5.7
Frequency of Negative Annual Total Return				
Number of Negative Annual Return in any 20-year period	4.1	4.4	4.4	3.7
Probability of a Negative Annual Return(%)	20.5	22.0	22.2	18.5

Figure 8: Return and Volatility Decomposition of Current SAA under Scenario 2



*The volatility bar did not account for the correlation among asset classes. Refer to Appendix B for Correlation Analysis.

3.6.2 Investment Strategy

The current and recommended SAA for the investment strategy has been tested against a series of CPI-based investment objectives. Specific assessment seeking to confirm that the current SAA remains acceptable and that the current investment objective is likely to be achieved.

Analysis for Scenario 1 has been conducted before management fees and tax:

- **Current SAA:** Under Scenario 1 the current investment objective of CPI + 3.0% pa over a 8-year rolling period is likely to be achieved at a 82.0% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -4.9% for the current allocation. The level of investment risk, as captured by SRM, is Medium to High for the current SAA.
- **Recommended SAA:** Under Scenario 1 the current investment objective of CPI + 3.0% pa over a 8-year rolling period is likely to be achieved at a 90.4% probability. Value at Risk upon a 1 in 20-year event (95% probability)

is expected at -5.2% for the current allocation. The level of investment risk, as captured by SRM, is Medium to High

Analysis for Scenario 2 has been conducted before management fees and tax:

- Current SAA: Under Scenario 2 the current investment objective of CPI + 3.0% pa over a 8-year rolling period is likely to be achieved at a 73.0% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -6.9% for the current allocation. The level of investment risk, as captured by SRM, is High for the current SAA.
- Recommended SAA: Under Scenario 2 the current investment objective of CPI + 3.0% pa over a 8-year rolling period is likely to be achieved at a 75.3% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -8.1% for the current allocation. The level of investment risk, as captured by SRM, is High

3.6.3 SAA Ranges

The licensee is required to monitor the investment ranges to enable it to identify and respond to any significant deviation from the investment strategy in a timely manner. A range that is set to be too wide or narrow would render the strategies unconstrained or ineffective.

- Under Scenario 1, the current and the recommended SAA and the most volatile portfolio (P1) would achieve an SRM of Medium to High, while the SRM for the least volatile portfolio (P2) is Medium
- Under Scenario 2, the current SAA and the recommended and the most volatile portfolio (P1) would achieve an SRM of High, while the SRM for the least volatile portfolio (P2) is Medium to High

As reviewed above, market fluctuations would have a modest impact on the investment strategy. For detailed stress testing analysis of P1 and P2, refer to Appendix B.

3.6.4 Recommendations

- Adopt the recommended Strategic Asset Allocation
- Maintain the current investment objective of CPI + 3.0% pa over rolling 8-year periods
- Maintain the current SRM of High

3.7 Analysis of Strategy: Dynamic 85

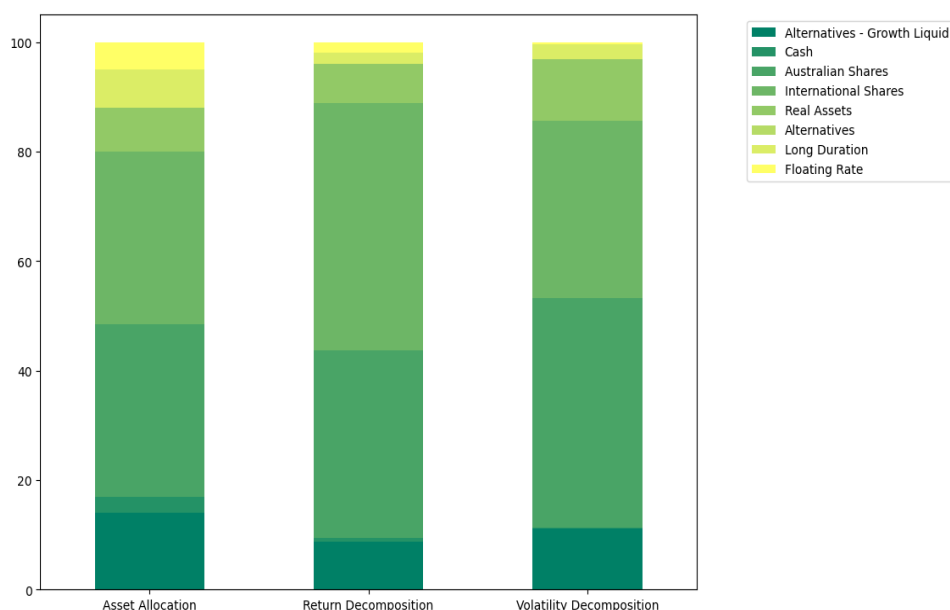
3.7.1 Analysis of Asset Allocation

Table 20 tests and demonstrates the returns, volatility of returns and the probabilities of the current SAA meeting the CPI-based investment objective, on a historical basis, before management fees and tax.

Table 20: Scenario 1 Historical Analysis – Strategic Asset Allocations

Category	Current SAA	Recommended SAA	Most Volatile Portfolio P1	Least Volatile Portfolio P2
Asset Classes				
Alternatives - Growth(%)	14.0	0.0	2.0	25.0
Cash(%)	3.0	2.0	0.0	8.0
Australian Shares(%)	31.5	34.0	48.0	20.0
International Shares(%)	31.5	39.5	20.0	38.0
Real Assets(%)	8.0	8.0	15.0	0.0
Alternatives(%)	0.0	7.0	2.0	2.0
Long Duration(%)	7.0	4.8	13.0	0.0
Floating Rate(%)	5.0	4.8	0.0	7.0
Total	100	100	100	100
Growth(%)	85.0	84.9	86.0	84.0
Defensive(%)	15.0	15.1	14.0	16.0
Scenario Analysis				
Return(% p.a.)	8.6	9.5	8.7	8.5
Volatility(% p.a.)	8.8	9.5	10.6	7.6
Sharpe	0.74	0.78	0.62	0.84
Risk Band	5.0	5.0	6.0	4.0
Risk Level	Medium to High	Medium to High	High	Medium
Probability of Achieving CPI-based Return Target				
CPI+3.0%p.a. over a 1-year rolling period(%)	62.6	65.1	60.7	63.8
CPI+3.5%p.a. over a 1-year rolling period(%)	60.4	63.2	58.9	61.3
CPI+4.0%p.a. over a 1-year rolling period(%)	58.2	61.2	57.1	58.8
CPI+4.5%p.a. over a 1-year rolling period(%)	56.0	59.1	55.2	56.2
CPI+5.0%p.a. over a 1-year rolling period(%)	53.7	57.1	53.3	53.6
CPI+3.0%p.a. over a 3-year rolling period(%)	73.8	78.2	70.6	75.9
CPI+3.5%p.a. over a 3-year rolling period(%)	70.1	75.1	67.4	71.7
CPI+4.0%p.a. over a 3-year rolling period(%)	66.1	71.7	64.0	67.2
CPI+4.5%p.a. over a 3-year rolling period(%)	61.9	68.1	60.4	62.3
CPI+5.0%p.a. over a 3-year rolling period(%)	57.5	64.3	56.7	57.2
CPI+3.0%p.a. over a 5-year rolling period(%)	82.8	87.9	79.0	85.1
CPI+3.5%p.a. over a 5-year rolling period(%)	78.4	84.6	74.9	80.4
CPI+4.0%p.a. over a 5-year rolling period(%)	73.3	80.7	70.4	74.7
CPI+4.5%p.a. over a 5-year rolling period(%)	67.6	76.2	65.4	68.2
CPI+5.0%p.a. over a 5-year rolling period(%)	61.3	71.1	60.1	60.8
CPI+3.0%p.a. over a 7-year rolling period(%)	90.1	94.6	86.4	92.2
CPI+3.5%p.a. over a 7-year rolling period(%)	85.9	92.0	82.1	87.8
CPI+4.0%p.a. over a 7-year rolling period(%)	80.4	88.5	76.9	81.9
CPI+4.5%p.a. over a 7-year rolling period(%)	73.5	84.0	70.8	74.2
CPI+5.0%p.a. over a 7-year rolling period(%)	65.4	78.2	63.9	64.8
CPI+3.0%p.a. over a 10-year rolling period(%)	97.1	99.2	94.7	98.1
CPI+3.5%p.a. over a 10-year rolling period(%)	94.5	98.3	91.4	95.8
CPI+4.0%p.a. over a 10-year rolling period(%)	89.9	96.6	86.4	91.3
CPI+4.5%p.a. over a 10-year rolling period(%)	82.8	93.5	79.5	83.6
CPI+5.0%p.a. over a 10-year rolling period(%)	72.6	88.4	70.5	71.8
Annualised Value at Risk				
1 in 20 year event(%)	-5.9	-6.2	-8.7	-4.0
Frequency of Negative Annual Total Return				
Number of Negative Annual Return in any 20-year period	3.3	3.2	4.1	2.6
Probability of a Negative Annual Return(%)	16.4	15.9	20.6	13.2

Figure 9: Return and Volatility Decomposition of Current SAA under Scenario 1



*The volatility bar did not account for the correlation among asset classes. Refer to Appendix B for Correlation Analysis.

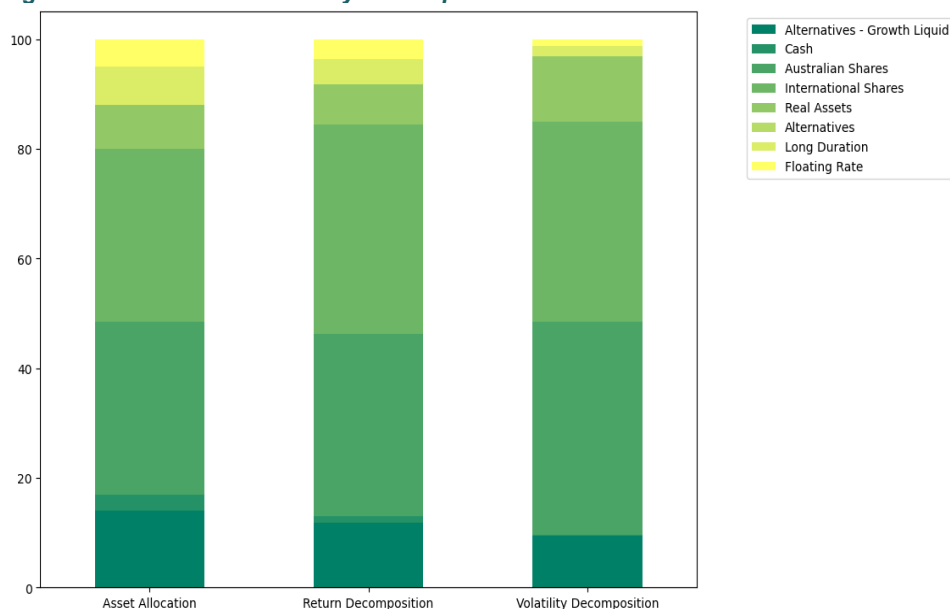
Table 21 tests and demonstrates the returns, volatility of returns and the probabilities of the current SAA meeting the current stated investment objective of CPI + 4.0% pa over 10-year periods, on a forecast basis, before management fees and tax.

Table 21: Scenario 2 Forecast Analysis – Strategic Asset Allocations

Category	Current SAA	Recommended SAA	Most Volatile Portfolio P1	Least Volatile Portfolio P2
Asset Classes				
Alternatives - Growth(%)	14.0	0.0	2.0	25.0
Cash(%)	3.0	2.0	0.0	8.0
Australian Shares(%)	31.5	34.0	48.0	20.0
International Shares(%)	31.5	39.5	20.0	38.0
Real Assets(%)	8.0	8.0	15.0	0.0
Alternatives(%)	0.0	7.0	2.0	2.0
Long Duration(%)	7.0	4.8	13.0	0.0
Floating Rate(%)	5.0	4.8	0.0	7.0
Total	100	100	100	100
Growth(%)	85.0	84.9	86.0	84.0
Defensive(%)	15.0	15.1	14.0	16.0
Scenario Analysis				
Return(% p.a.)	7.5	7.8	7.5	7.4
Volatility(% p.a.)	9.8	10.8	11.6	8.5
Sharpe	0.45	0.44	0.39	0.51
Risk Band	6.0	6.0	6.0	5.0
Risk Level	High	High	High	Medium to High
Probability of Achieving CPI-based Return Target				
CPI+3.0%p.a. over a 1-year rolling period(%)	57.1	57.6	56.1	57.6
CPI+3.5%p.a. over a 1-year rolling period(%)	55.1	55.7	54.4	55.3
CPI+4.0%p.a. over a 1-year rolling period(%)	53.1	53.9	52.7	53.0
CPI+4.5%p.a. over a 1-year rolling period(%)	51.1	52.1	51.0	50.6
CPI+5.0%p.a. over a 1-year rolling period(%)	49.1	50.2	49.3	48.3
CPI+3.0%p.a. over a 3-year rolling period(%)	63.8	64.7	61.9	64.7
CPI+3.5%p.a. over a 3-year rolling period(%)	60.1	61.3	58.7	60.4
CPI+4.0%p.a. over a 3-year rolling period(%)	56.2	57.8	55.4	55.9
CPI+4.5%p.a. over a 3-year rolling period(%)	52.2	54.1	52.0	51.3
CPI+5.0%p.a. over a 3-year rolling period(%)	48.1	50.5	48.6	46.6
CPI+3.0%p.a. over a 5-year rolling period(%)	69.8	71.0	67.2	71.0
CPI+3.5%p.a. over a 5-year rolling period(%)	64.7	66.4	62.7	65.1

CPI+4.0%p.a. over a 5-year rolling period(%)	59.1	61.4	58.0	58.7
CPI+4.5%p.a. over a 5-year rolling period(%)	53.2	56.2	53.0	51.9
CPI+5.0%p.a. over a 5-year rolling period(%)	47.2	50.7	47.9	44.9
CPI+3.0%p.a. over a 7-year rolling period(%)	75.8	77.3	72.6	77.1
CPI+3.5%p.a. over a 7-year rolling period(%)	69.5	71.7	67.0	70.0
CPI+4.0%p.a. over a 7-year rolling period(%)	62.3	65.4	60.8	61.7
CPI+4.5%p.a. over a 7-year rolling period(%)	54.4	58.4	54.1	52.5
CPI+5.0%p.a. over a 7-year rolling period(%)	46.2	51.0	47.1	43.0
CPI+3.0%p.a. over a 10-year rolling period(%)	84.5	86.2	80.8	85.9
CPI+3.5%p.a. over a 10-year rolling period(%)	77.1	80.0	74.0	77.7
CPI+4.0%p.a. over a 10-year rolling period(%)	67.7	72.1	65.6	66.8
CPI+4.5%p.a. over a 10-year rolling period(%)	56.5	62.4	56.1	53.7
CPI+5.0%p.a. over a 10-year rolling period(%)	44.3	51.5	45.7	39.7
Annualised Value at Risk				
1 in 20 year event(%)	-8.7	-10.0	-11.6	-6.6
Frequency of Negative Annual Total Return				
Number of Negative Annual Return in any 20-year period	4.4	4.7	5.2	3.9
Probability of a Negative Annual Return(%)	22.2	23.5	25.8	19.3

Figure 10: Return and Volatility Decomposition of Current SAA under Scenario 2



*The volatility bar did not account for the correlation among asset classes. Refer to Appendix B for Correlation Analysis.

3.7.2 Investment Strategy

The current and recommended SAA for the investment strategy has been tested against a series of CPI-based investment objectives. Specific assessment seeking to confirm that the current SAA remains acceptable and that the current investment objective is likely to be achieved.

Analysis for Scenario 1 has been conducted before management fees and tax:

- **Current SAA:** Under Scenario 1 the current investment objective of CPI + 4.0% pa over a 10-year rolling period is likely to be achieved at an 89.9% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -5.9% for the current allocation. The level of investment risk, as captured by SRM, is Medium to High for the current SAA.
- **Recommended SAA:** Under Scenario 1 the investment objective of CPI + 4.0% pa over a 10-year rolling period is likely to be achieved at a 96.6% probability. Value at Risk upon a 1 in 20-year event (95% probability) is

expected at -6.2% for the current allocation. The level of investment risk, as captured by SRM, is Medium to High.

Analysis for Scenario 2 has been conducted before management fees and tax:

- Current SAA: Under Scenario 2 the current investment objective of CPI + 4.0% pa over a 10-year rolling period is likely to be achieved at a 67.7% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -8.7% for the current allocation. The level of investment risk, as captured by SRM, is High.
- Recommended SAA: Under Scenario 2 the current investment objective of CPI + 4.0% pa over a 10-year rolling period is likely to be achieved at a 72.1% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -10.0% for the current allocation. The level of investment risk, as captured by SRM, is High.

3.7.3 SAA Ranges

The licensee is required to monitor the investment ranges to enable it to identify and respond to any significant deviation from the investment strategy in a timely manner. A range that is set to be too wide or narrow would render the strategies unconstrained or ineffective.

- Under Scenario 1, the most volatile portfolio (P1) and the least volatile portfolio (P2) would achieve an SRM of High and Medium respectively, while the SRM for the current SAA is Medium to High
- Under Scenario 2, the current SAA and the most volatile portfolio (P1) would achieve an SRM of High, while the SRM for the least volatile portfolio (P2) is Medium to High

As reviewed above, market fluctuations would have a modest impact on the investment strategy. For detailed stress testing analysis of P1 and P2, refer to Appendix B.

3.7.4 Recommendations

- Adopt the recommended Strategic Asset Allocation
- Maintain the current investment objective of CPI + 4.0% pa over rolling 10-year periods
- Maintain the current SRM of High

3.8 Analysis of Strategy: Dynamic 95

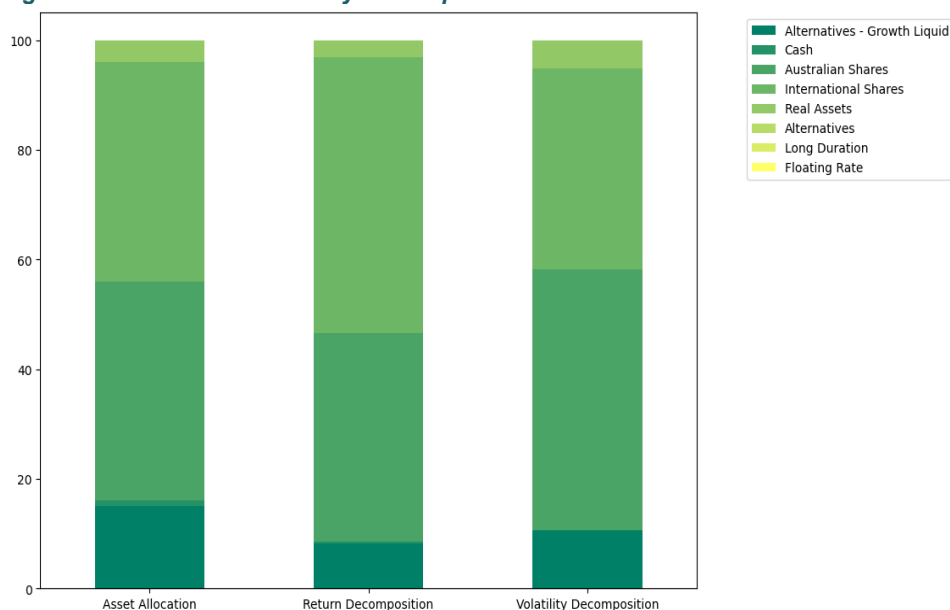
3.8.1 Analysis of Asset Allocation

Table 22 tests and demonstrates the returns, volatility of returns and the probabilities of the current SAA meeting the CPI-based investment objective, on a historical basis, before management fees and tax.

Table 22: Scenario 1 Historical Analysis – Strategic Asset Allocations

Category	Current SAA	Recommended SAA	Most Volatile Portfolio P1	Least Volatile Portfolio P2
Asset Classes				
Alternatives - Growth(%)	15.0	0.0	2.0	25.0
Cash(%)	1.0	1.0	0.0	1.0
Australian Shares(%)	40.0	41.0	56.0	25.0
International Shares(%)	40.0	46.0	25.0	47.0
Real Assets(%)	4.0	4.0	15.0	0.0
Alternatives(%)	0.0	8.0	2.0	2.0
Long Duration(%)	0.0	0.0	0.0	0.0
Floating Rate(%)	0.0	0.0	0.0	0.0
Total	100	100	100	100
Growth(%)	99.0	95.0	99.0	98.0
Defensive(%)	1.0	5.0	1.0	2.0
Scenario Analysis				
Return(% p.a.)	9.8	10.4	9.7	9.7
Volatility(% p.a.)	10.1	10.5	11.9	9.1
Sharpe	0.77	0.80	0.64	0.84
Risk Band	5.0	5.0	6.0	4.0
Risk Level	Medium to High	Medium to High	High	Medium
Probability of Achieving CPI-based Return Target				
CPI+3.5%p.a. over a 10-year rolling period(%)	98.7	99.5	96.7	99.1
CPI+4.0%p.a. over a 10-year rolling period(%)	97.5	99.0	94.5	98.1
CPI+4.5%p.a. over a 10-year rolling period(%)	95.2	97.9	91.2	95.9
CPI+5.0%p.a. over a 10-year rolling period(%)	91.4	96.0	86.4	92.0
CPI+5.5%p.a. over a 10-year rolling period(%)	85.4	92.6	79.7	85.5
CPI+3.5%p.a. over a 11-year rolling period(%)	99.4	99.8	98.1	99.6
CPI+4.0%p.a. over a 11-year rolling period(%)	98.7	99.6	96.5	99.0
CPI+4.5%p.a. over a 11-year rolling period(%)	97.1	99.0	93.8	97.6
CPI+5.0%p.a. over a 11-year rolling period(%)	94.1	97.7	89.5	94.6
CPI+5.5%p.a. over a 11-year rolling period(%)	88.6	95.1	82.9	88.6
CPI+3.5%p.a. over a 12-year rolling period(%)	99.8	100.0	99.1	99.9
CPI+4.0%p.a. over a 12-year rolling period(%)	99.4	99.9	98.0	99.6
CPI+4.5%p.a. over a 12-year rolling period(%)	98.4	99.6	96.0	98.8
CPI+5.0%p.a. over a 12-year rolling period(%)	96.2	98.9	92.3	96.6
CPI+5.5%p.a. over a 12-year rolling period(%)	91.5	97.1	86.0	91.6
CPI+3.5%p.a. over a 13-year rolling period(%)	99.9	100.0	99.6	100.0
CPI+4.0%p.a. over a 13-year rolling period(%)	99.8	100.0	99.0	99.9
CPI+4.5%p.a. over a 13-year rolling period(%)	99.3	99.9	97.6	99.4
CPI+5.0%p.a. over a 13-year rolling period(%)	97.8	99.5	94.6	98.1
CPI+5.5%p.a. over a 13-year rolling period(%)	94.1	98.5	89.0	94.1
CPI+3.5%p.a. over a 14-year rolling period(%)	100.0	100.0	99.8	100.0
CPI+4.0%p.a. over a 14-year rolling period(%)	99.9	100.0	99.5	100.0
CPI+4.5%p.a. over a 14-year rolling period(%)	99.7	100.0	98.7	99.8
CPI+5.0%p.a. over a 14-year rolling period(%)	98.8	99.8	96.6	99.0
CPI+5.5%p.a. over a 14-year rolling period(%)	96.1	99.3	91.8	96.1
Annualised Value at Risk				
1 in 20 year event(%)	-6.8	-6.8	-9.8	-5.2
Frequency of Negative Annual Total Return				
Number of Negative Annual Return in any 20-year period	3.3	3.2	4.1	2.8
Probability of a Negative Annual Return(%)	16.6	16.0	20.7	14.2

Figure 11: Return and Volatility Decomposition of Current SAA under Scenario 1



*The volatility bar did not account for the correlation among asset classes. Refer to Appendix B for Correlation Analysis.

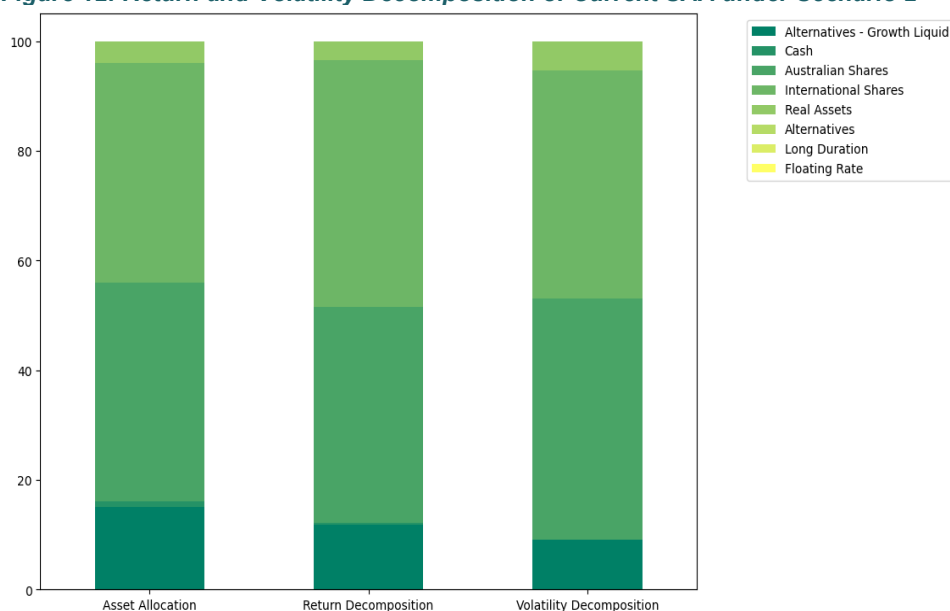
Table 23 tests and demonstrates the returns, volatility of returns and the probabilities of the current SAA meeting the PI-based investment objective, on a forecast basis, before management fees and tax.

Table 23: Scenario 2 Forecast Analysis – Strategic Asset Allocations

Category	Current SAA	Recommended SAA	Most Volatile Portfolio P1	Least Volatile Portfolio P2
Asset Classes				
Alternatives - Growth(%)	15.0	0.0	2.0	25.0
Cash(%)	1.0	1.0	0.0	1.0
Australian Shares(%)	40.0	41.0	56.0	25.0
International Shares(%)	40.0	46.0	25.0	47.0
Real Assets(%)	4.0	4.0	15.0	0.0
Alternatives(%)	0.0	8.0	2.0	2.0
Long Duration(%)	0.0	0.0	0.0	0.0
Floating Rate(%)	0.0	0.0	0.0	0.0
Total	100	100	100	100
Growth(%)	99.0	95.0	99.0	98.0
Defensive(%)	1.0	5.0	1.0	2.0
Scenario Analysis				
Return(% p.a.)	8.1	8.2	8.0	8.0
Volatility(% p.a.)	11.2	11.8	13.1	10.2
Sharpe	0.45	0.44	0.38	0.49
Risk Band	6.0	6.0	6.0	6.0
Risk Level	High	High	High	High
Probability of Achieving CPI-based Return Target				
CPI+3.5%p.a. over a 10-year rolling period(%)	83.3	84.0	78.6	84.5
CPI+4.0%p.a. over a 10-year rolling period(%)	76.3	77.5	71.9	77.1
CPI+4.5%p.a. over a 10-year rolling period(%)	67.7	69.5	63.9	67.6
CPI+5.0%p.a. over a 10-year rolling period(%)	57.5	60.0	55.0	56.3
CPI+5.5%p.a. over a 10-year rolling period(%)	46.3	49.5	45.3	44.0
CPI+3.5%p.a. over a 11-year rolling period(%)	86.1	86.8	81.4	87.3
CPI+4.0%p.a. over a 11-year rolling period(%)	79.0	80.3	74.3	79.8
CPI+4.5%p.a. over a 11-year rolling period(%)	69.8	71.8	65.7	69.6
CPI+5.0%p.a. over a 11-year rolling period(%)	58.4	61.3	55.6	57.1
CPI+5.5%p.a. over a 11-year rolling period(%)	45.8	49.4	44.7	43.2
CPI+3.5%p.a. over a 12-year rolling period(%)	88.8	89.5	84.1	89.9
CPI+4.0%p.a. over a 12-year rolling period(%)	81.8	83.1	76.8	82.5
CPI+4.5%p.a. over a 12-year rolling period(%)	72.0	74.2	67.5	71.8

CPI+5.0%p.a. over a 12-year rolling period(%)	59.5	62.7	56.3	58.0
CPI+5.5%p.a. over a 12-year rolling period(%)	45.2	49.3	44.0	42.3
CPI+3.5%p.a. over a 13-year rolling period(%)	91.2	91.9	86.7	92.3
CPI+4.0%p.a. over a 13-year rolling period(%)	84.5	85.8	79.3	85.2
CPI+4.5%p.a. over a 13-year rolling period(%)	74.3	76.7	69.4	74.1
CPI+5.0%p.a. over a 13-year rolling period(%)	60.6	64.3	57.1	58.9
CPI+5.5%p.a. over a 13-year rolling period(%)	44.6	49.3	43.3	41.3
CPI+3.5%p.a. over a 14-year rolling period(%)	93.4	94.0	89.2	94.3
CPI+4.0%p.a. over a 14-year rolling period(%)	87.1	88.4	81.9	87.8
CPI+4.5%p.a. over a 14-year rolling period(%)	76.7	79.2	71.5	76.5
CPI+5.0%p.a. over a 14-year rolling period(%)	61.9	65.9	57.9	60.0
CPI+5.5%p.a. over a 14-year rolling period(%)	44.0	49.2	42.5	40.3
Annualised Value at Risk				
1 in 20 year event(%)	-10.4	-11.2	-13.5	-8.8
Frequency of Negative Annual Total Return				
Number of Negative Annual Return in any 20-year period	4.7	4.9	5.4	4.3
Probability of a Negative Annual Return(%)	23.6	24.3	27.0	21.6

Figure 12: Return and Volatility Decomposition of Current SAA under Scenario 2



*The volatility bar did not account for the correlation among asset classes. Refer to Appendix B for Correlation Analysis.

3.8.2 Current Investment Strategy

The current and recommended SAA for the investment strategy has been tested against a series of CPI-based investment objectives. Specific assessment seeking to confirm that the current SAA remains acceptable and that the current investment objective is likely to be achieved.

Analysis for Scenario 1 has been conducted before management fees and tax:

- **Current SAA:** Under Scenario 1 the investment objective of CPI + 5.0%/4.5% pa over a 12-year rolling period is likely to be achieved at a 96.2%/98.4% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -6.8% for the current allocation. The level of investment risk, as captured by SRM, is Medium to High.
- **Recommended SAA:** Under Scenario 1 the investment objective of CPI + 5.0%/4.0% pa over a 12-year rolling period is likely to be achieved at a 98.9%/99.6% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -6.8% for the current allocation. The level of investment risk, as captured by SRM, is Medium to High.

Analysis for Scenario 2 has been conducted before management fees and tax:

- Current SAA: Under Scenario 2 the investment objective of CPI + 5.0%/4.5% pa over a 12-year rolling period is likely to be achieved at a 59.5%/72.0% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -10.4% for the current allocation. The level of investment risk, as captured by SRM, is High.
- Recommended SAA: Under Scenario 2 the investment objective of CPI + 5.0%/4.0% pa over a 12-year rolling period is likely to be achieved at a 62.7%/74.2% probability. Value at Risk upon a 1 in 20-year event (95% probability) is expected at -11.2% for the current allocation. The level of investment risk, as captured by SRM, is High.

3.8.3 SAA Ranges

The licensee is required to monitor the investment ranges to enable it to identify and respond to any significant deviation from the investment strategy in a timely manner. A range that is set to be too wide or narrow would render the strategies unconstrained or ineffective.

- Under Scenario 1, the most volatile portfolio (P1) and the least volatile portfolio (P2) would achieve an SRM of High and Medium respectively, while the SRM for the current and the recommended SAA is Medium to High
- Under Scenario 2, the most volatile portfolio (P1) and the least volatile portfolio (P2) would achieve the same SRM of High as the current and the recommended asset allocation

As reviewed above, market fluctuations would have a modest impact on the investment strategy. For detailed stress testing analysis of P1 and P2, refer to Appendix B.

3.8.4 Recommendations

- Adopt the recommended Strategic Asset Allocation
- Adopt an investment objective of CPI + 4.5% pa over rolling 12-year periods
- Maintain the current SRM of High

4 Manager Allocation

Table below indicates the manager allocation within each sleeve and each recommended Dynamic portfolio as of June 2025.

APIR	Fund	Sleeve Allocation	Atchison Dynamic 20	Atchison Dynamic 40	Atchison Dynamic 55	Atchison Dynamic 70	Atchison Dynamic 85	Atchison Dynamic 95
Australian Equities			7.0	15.0	20.0	25.5	34.0	41.0
IOZ	iShares Core S&P/ASX 200 ETF	100.0	7.0	15.0	20.0	25.5	34.0	41.0
International Equities			9.5	18.0	23.0	29.5	39.5	46.0
IVV	iShares S&P 500 ETF	39.0	3.7	7.0	9.0	11.5	15.4	17.9
VEQ	Vanguard FTSE Europe Shares ETF	21.0	2.0	3.8	4.8	6.2	8.3	9.7
IJP	iShares MSCI Japan ETF	5.0	0.5	0.9	1.2	1.5	2.0	2.3
VGAD	Vanguard MSCI Index International Shares (Hedged) ETF	20.0	1.9	3.6	4.6	5.9	7.9	9.2
VAE	Vanguard FTSE Asia Ex-Japan Shares Index ETF	15.0	1.4	2.7	3.5	4.4	5.9	6.9
Real Assets			2.0	5.0	9.5	12.0	8.0	4.0
BLK4709AU	iShares Wholesale Australian Listed Property Index Fund (S Class)	33.0	0.7	1.7	3.1	4.0	2.6	1.3
BLK9419AU	iShares Global Listed Property Index Fund (Hedged S Class)	31.0	0.6	1.6	2.9	3.7	2.5	1.2
VBLD	Vanguard Global Infrastructure Index ETF	36.0	0.7	1.8	3.4	4.3	2.9	1.4
Alternatives			3.0	4.0	5.0	6.0	7.0	8.0
GPEQ	VanEck Global Listed Private Equity ETF	50.0	1.5	2.0	2.5	3.0	3.5	4.0
GLDN	iShares Physical Gold ETF	50.0	1.5	2.0	2.5	3.0	3.5	4.0
Long Duration			32.3	24.5	19.3	11.5	4.8	0.0
IAF	iShares Core Composite Bond ETF	40.0	12.9	9.8	7.7	4.6	1.9	0.0
AESG	iShares Global Aggregate Bond ESG (AUD Hedged) ETF	40.0	12.9	9.8	7.7	4.6	1.9	0.0
ILB	iShares Government Inflation ETF	20.0	6.5	4.9	3.9	2.3	1.0	0.0
Floating Rate			32.3	24.5	19.3	11.5	4.8	0.0
FLOT	VanEck Australian Floating Rate ETF	52.0	16.8	12.7	10.0	6.0	2.5	0.0
BHYB	BetaShares Australian Major Bank Hybrids Index ETF	27.0	8.7	6.6	5.2	3.1	1.3	0.0
ISEC	iShares Enhanced Cash ETF	21.0	6.8	5.1	4.0	2.4	1.0	0.0
Cash			14.0	9.0	4.0	4.0	2.0	1.0
BILL	iShares Core Cash ETF	100.0	14.0	9.0	4.0	4.0	2.0	1.0
Totals			100.0	100.0	100.0	100.0	100.0	100.0

5 Stress Testing

5.1 Scenario Stress Testing

Stress testing scenarios have been performed on the proposed investment strategy in accordance with APRA Prudential Standard SPS 530, factoring investment returns, SAA and risk factors that have the potential to influence the asset classes and therefore have an impact on the investment performance of the investment strategy.

Scenario stress testing has been considered for investment strategy; risk factors in relation to designated asset classes, respective asset allocation and investment objective.

Scenarios have been analysed on both a historical and forecast basis.

Detailed stress testing analysis is included in Appendix B.

Conclusions

The following conclusions have been reached:

- Investment objectives:
 - On a historical basis, the proposed investment strategy assessed would have achieved its respective investment objective more than 50% of the time.
 - On a forecast basis, stress testing demonstrates that the investment strategy is likely to achieve its respective investment objectives at least 50% of the time.
- Risk Analysis:
 - Over the 20-year period to June 2025, the proposed investment strategy would have achieved its respective risk objectives.
 - On a forecast basis, the current risk remains suitable.
- Risk Factors:
 - Certain factors might have detrimental consequences on portfolio performance in the event of a 2 standard deviation shock.

Recommendations

It is recommended that the performance of the proposed investment strategy is monitored against the relevant trigger level on a quarterly basis. Trigger levels are derived using a 2 standard deviation event from the mean expected return of the respective portfolio. 2 standard deviations from the mean reflect a confidence interval of 95%.

A trigger level represents the minimum tolerance of a strategy's quarterly absolute performance. A breach of the trigger level i.e. a defined loss or minimum return to be achieved by the investment option between formal annual reviews.

Should the actual investment performance fall below the relevant trigger level, the strategy may be deemed unlikely to meet its investment objective over the rest of the investment horizon and therefore will initiate a review of the investment strategy.

Table 24: Trigger Levels

Portfolios	Trigger Level(% p.a.)
Atchison Dynamic 20 Current SAA	-1.8
Atchison Dynamic 20 Recommended SAA	-1.7
Atchison Dynamic 40 Current SAA	-4.9
Atchison Dynamic 40 Recommended SAA	-5.4
Atchison Dynamic 55 Current SAA	-7.3
Atchison Dynamic 55 Recommended SAA	-8.5
Atchison Dynamic 70 Current SAA	-9.9
Atchison Dynamic 70 Recommended SAA	-11.4

Atchison Dynamic 85 Current SAA	-12.1
Atchison Dynamic 85 Recommended SAA	-13.8
Atchison Dynamic 95 Current SAA	-14.3
Atchison Dynamic 95 Recommended SAA	-15.4

5.2 Environmental Stress Testing

An RSE licensee is required to consider the environmental (ESG) impacts of investments when formulating and implementing an investment strategy. APRA CPG 229 provides guidance on APRA's view of sound practice in particular areas in relation to prudent practices to climate change financial risk management.

Given the unique nature and asset allocations, the approach taken by the asset consultant to managing environmental risk is to test the Atchison multi-asset investment portfolios expected investment performance through various significant historical environmental disasters. Refer to Appendix B.

Conclusion

- None of the environment disasters was a significant contributor (either negative or positive) to portfolio returns, likely due to the slow impact of climate change on asset class returns and the ability to take corrective actions as and when detrimental disasters etc. occur

Recommendation

- ESG stress testing to be performed annually

5.3 Liquidity Stress Testing

The SIS Act requires an RSE licensee to consider the liquidity of investments when formulating and implementing an investment strategy, while also considering the expected cash flow requirements of the RSE. Given the unique nature and asset allocations, the approach taken to managing liquidity risk is primarily focused on the Atchison meeting its financial obligations and cash flow requirements in the best interests of the Trust members.

Conclusion

Consideration has been given to the liquidity of the underlying investments in stressed market conditions for Atchison SMA. All Alternatives components across 6 portfolios are deemed illiquid under stressed market conditions.

Recommendation

It is recommended that cash flow requirements are closely monitored to ensure sufficient cash is available to meet liabilities as they arise.

6 Appendix A – Assumptions

6.1 Analysis of Asset Classes

Historical and Forecast returns and volatility of returns for the relevant asset classes used in the asset allocation study are shown below. In respect of returns and volatility of returns, no allowance has been made for prospective value add through active investment management or the inclusion of sub-asset classes, except where specifically identified.

Table 25: Investment Returns and Volatility of Returns

Asset Class	Historical Return (% p.a.)	Historical Volatility (% p.a.)	Forecast Return (% p.a.)	Forecast Volatility (% p.a.)	Alpha (% p.a.)
Alternatives - Growth	5.4	8.4	6.3	8.0	0.9
Cash	2.1	0.4	3.0	0.5	0.1
Australian Shares	9.3	14.0	8.0	14.5	0.5
International Shares	12.4	10.9	9.1	13.7	0.4
Real Assets	7.6	14.9	6.9	17.6	0.5
Alternatives	7.1	4.3	5.8	6.5	0.6
Long Duration	2.4	4.0	4.8	3.1	0.2
Floating Rate	3.3	0.7	5.5	3.0	0.3

[^] Before management fees and tax. Historical and forecast returns incorporate alpha, while Australian Equities include a 1% franking benefit in the return.

Unlike the previous annual review, where Alternatives (**Alternatives – Growth**) were classified entirely as 100% Growth assets, the current classification for Alternatives (**Alternatives – 50%/50% Growth/Defensive**) will be split as 50% Growth and 50% Defensive, based on the underlying manager's actual holdings.

7 Appendix B – Scenario Stress Testing

7.1 Background

To meet APRA's prudential standard, the Asset Consultant has developed and conducted scenario stress testing on Atchison SMA based on the current and proposed SAA.

A range of stress testing scenarios have been developed and conducted on Atchison.

The Asset Consultant has considered the following when conducting stress testing scenarios:

- Strategic asset allocations & Actual Asset Allocation
- Return & Risk objectives
- Risk factors & target exposure

Scenario stress testing has considered risk factors in nominated asset classes, asset allocation and investment objectives of Atchison.

The trigger level has been determined for Atchison:

- A breach of the trigger level i.e. a defined loss or minimum return to be achieved by Atchison in any one year may prompt a review of the causes of the loss and/or reconsider the ongoing suitability of the underlying strategy

The performances of P1 (the most volatile portfolio) and P2 (the least volatile portfolio) are presented in Tables 28 & 29 & 30, alongside the strategic asset allocation.

7.2 Investment Option

Following this review of the underlying investment strategies of Atchison, scenario stress testing is being conducted on recommended SAA and investment objective incorporating the Asset Consultants historical and forecast returns and volatilities per asset class.

The current and recommended investment objective of the Atchison and its respective Standard Risk Measure (SRM - as a measure of risk) is presented in Table 26 below.

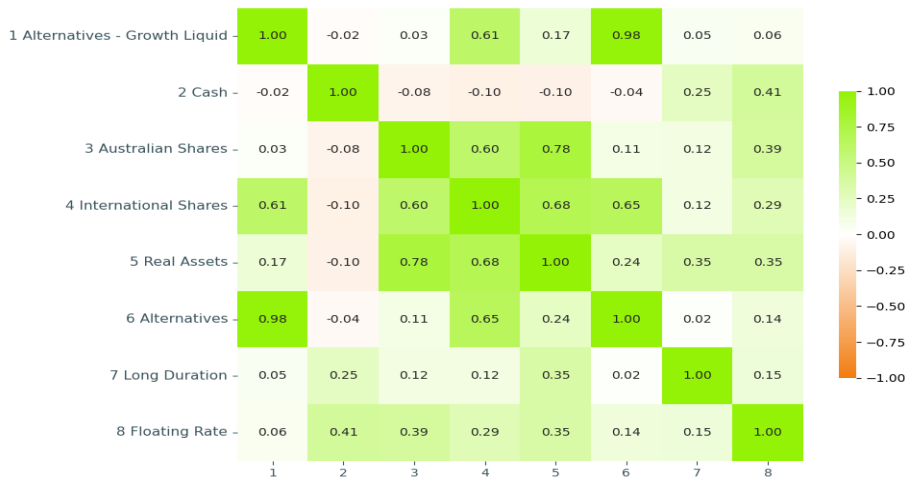
Table 26: Current Investment Objective

Investment Strategy	Recommended Return Objectives	Current Risk Objectives
Atchison Dynamic 20	CPI+1.0% pa over rolling 3-year periods	1 - 2 (Low to Medium)
Atchison Dynamic 40	CPI+1.5% pa over rolling 5-year periods	2 - 3 (Medium)
Atchison Dynamic 55	CPI+2.0% pa over rolling 7-year periods	3 - 4 (Medium to High)
Atchison Dynamic 70	CPI+3.0% pa over rolling 8-year periods	4 - 6 (High)
Atchison Dynamic 85	CPI+4.0% pa over rolling 10-year periods	4 - 6 (High)
Atchison Dynamic 95	CPI+4.5% pa over rolling 12-year periods	4 - 6 (High)

7.3 Portfolio Diversification

A correlation matrix is employed to demonstrate the relationship among asset classes in the portfolios based on historical monthly returns to June 2025. The correlation coefficient in each cell measures the strength and direction of a linear relationship between two variables, ranging from -1 to 1 (perfect negative correlation to perfect positive correlation).

Figure 13: Correlation heatmap



Conclusion

- The Fixed Interest exhibits low correlations with Equities, thereby reducing the overall portfolio risk. The non-synchronous movements of these assets help to smooth out the portfolio's returns over time.

7.4 Risk Factors

The Asset Consultants portfolio construction process takes into consideration forward looking return, volatility of return and correlation forecasts across asset classes. These forecasts represent the aggregation of risk factors and their estimated impact at the asset class level.

Risk factor modelling assists in the assessment of the sensitivity of a portfolio to underlying risk-factors.

The rationale behind risk-factor modelling is that asset classes represent the grouping of underlying securities or investments which demonstrate similar types of underlying risk characteristics. Risk factors may be broadly divided into systematic and unsystematic categories and have varying types and levels of impact across different asset classes. Unsystematic risk, also known as 'specific risk', is the type of uncertainty that comes with the company or industry invested in. Unsystematic risk can be reduced through diversification.

Changes in the underlying risk-factors are due to changing macro and micro-economic conditions as well as financial market perceptions. These changes drive the risk-return profiles of assets over time and are generally not consistent. This is demonstrated through inconsistent historical asset class correlations across time.

7.4.1 Example of Risk Factors

Asset classes and asset sub-classes have different primary risk attributes. Table 27 provides an example of primary risk factors within asset classes.

Table 27: Indicative Primary Risk Attributes across Asset Classes

Asset Classes	Inflation	EPS Growth	Interest Rate	Credit Spreads	Currency	Climate
Australian Equities	✓	✓				✓
International Equities	✓	✓			✓	✓
Australian Listed Property	✓	✓	✓			✓
International Listed Property	✓	✓	✓		✓	✓

Australian Fixed Interest	✓	✓	✓	✓
International Fixed Interest	✓	✓	✓	✓
Cash	✓	✓	✓	✓

7.4.2 Target Exposure

A list of risk factors is identified and analysed in relation to the portfolio's performance. Regression models are developed to examine the portfolio's exposure to these risk factors under various market conditions using the quarterly change rate of portfolio returns and the following independent variables:

Table 28: Risk Factors Identification

Risk Factors	Category	Causation
World GDP Growth	Economic	Indicator of global economic health and can influence corporate profits, investment returns, and overall market sentiment
RBA Cash Rate	Economic	Changes in this rate affect borrowing costs, consumer spending, and investment decisions
US EPS Growth	Market	Reflects the profitability of companies in the United States
Australian EPS Growth	Market	Reflects the profitability of companies in the Australia
Credit Spread	Market	Signals economic uncertainty and affect the performance of fixed income components
Gold	Commodity	Reflects broader economic and geopolitical conditions
Oil	Commodity	Reflects corporate profit margins, and consumer spending
AUDUSD	Currency	Affects the value of investments denominated in US dollars when converted to Australian dollars
Carbon Emission_lag1yr	Environmental	Regulations and market shifts towards sustainability might lead to regulatory risks, increased costs, and potential reputational damage, affecting long-term portfolio returns

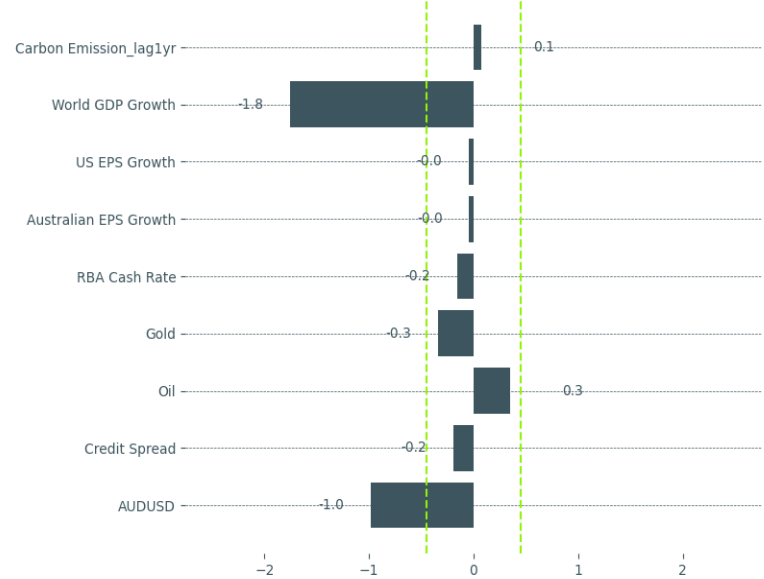
Statistical models are built based on historical data and established methodologies. While we strive to ensure the accuracy and reliability of our model and are committed to the continuous validation and refinement of our model to improve its performance and relevance, it is crucial to consider situational factors when making decisions based on our data.

To interpret the bar charts:

- The green dash line represents the quarterly trigger level (refer to Appendix B – Trigger Level) calculated for the portfolios
- The length of the bar signifies the projected portfolio performance in response to a 2 standard deviation (SD) negative shock of a given factor. This assumed shock represents extreme market conditions, with a 95% probability that a factor will not induce such a shock. When this shock does occur, a longer bar indicates a higher downturn in the portfolio's performance.
- Positive bars indicate negative correlations between the portfolio returns and factors and mirrored absolute value of trigger levels are depicted to reflect the extent to which the portfolio is negatively influenced by the factor.

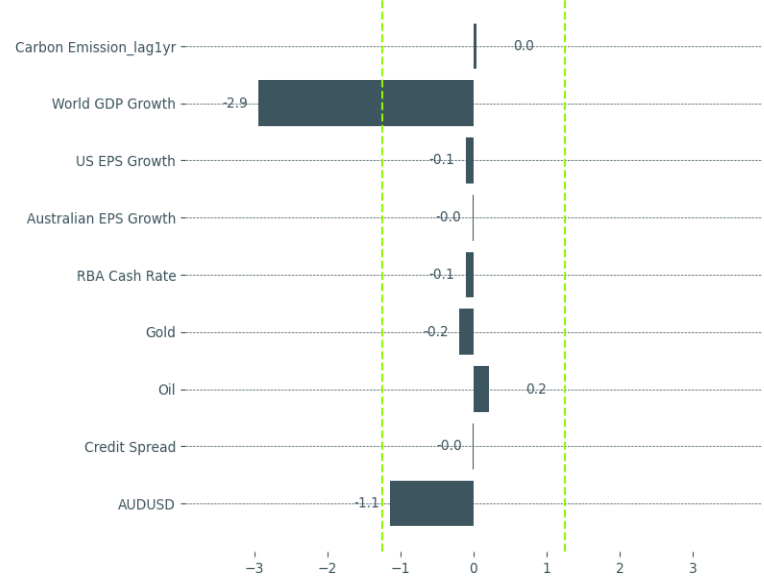
Atchison Dynamic 20

Figure 13: Estimated SAA performance under 2 standard deviation negative factor shocks



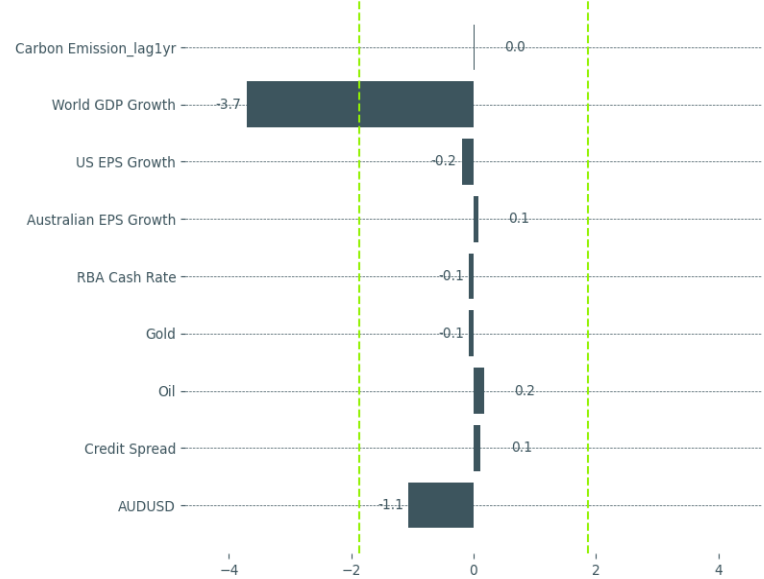
Atchison Dynamic 40

Figure 14: Estimated SAA performance under 2 standard deviation negative factor shocks



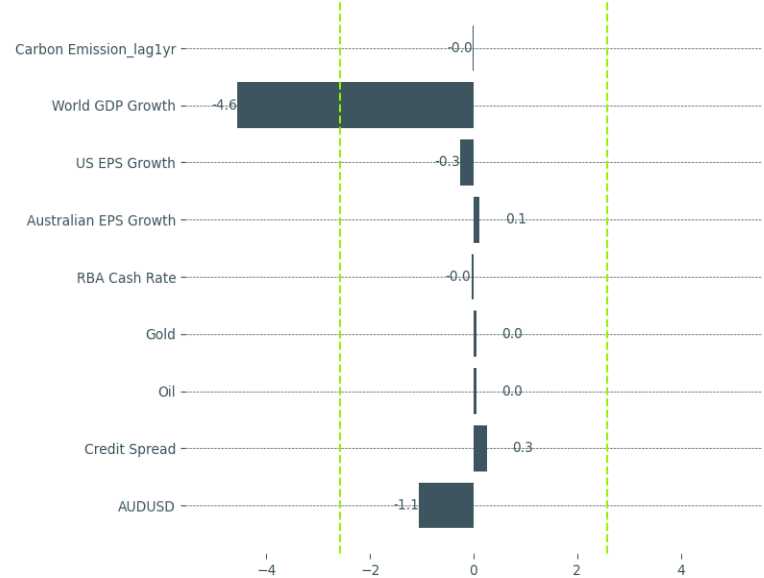
Atchison Dynamic 55

Figure 15: Estimated SAA performance under 2 standard deviation negative factor shocks



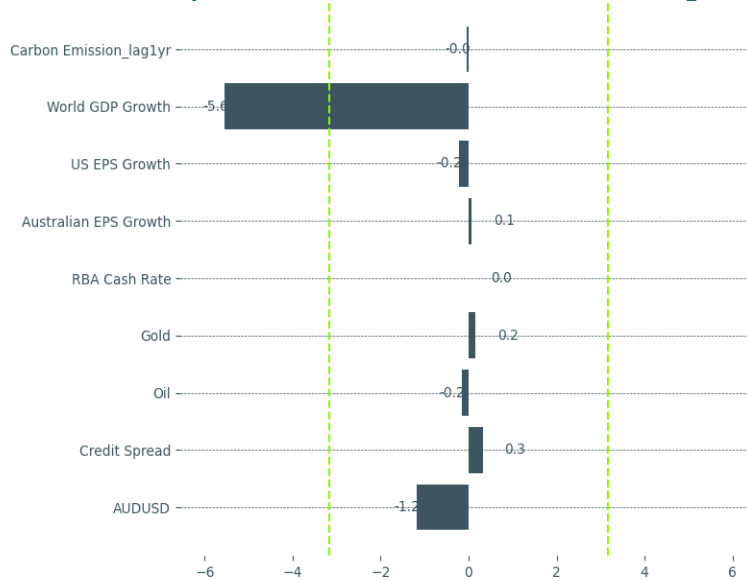
Atchison Dynamic 70

Figure 16: Estimated SAA performance under 2 standard deviation negative factor shocks



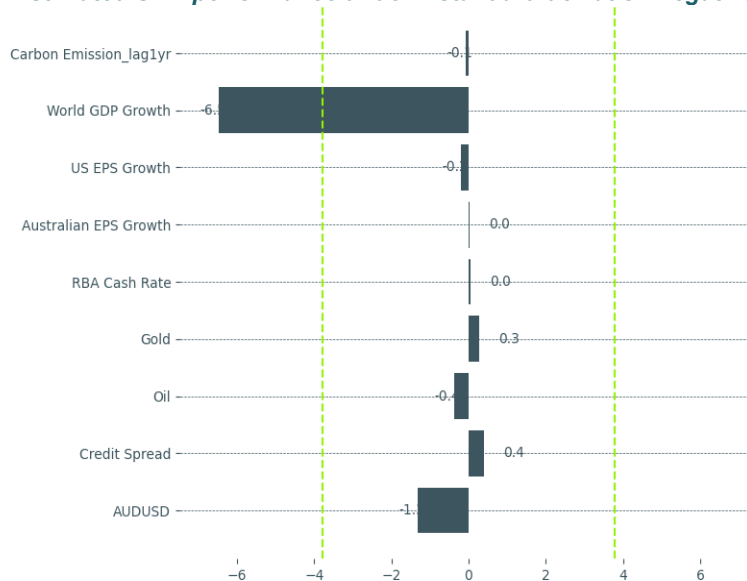
Atchison Dynamic 85

Figure 17: Estimated SAA performance under 2 standard deviation negative factor shocks



Atchison Dynamic 95

Figure 18: Estimated SAA performance under 2 standard deviation negative factor shocks



Conclusion

As an example, using the Dynamic 20 Option whose quarterly trigger level as determined in Appendix B - Trigger Levels is -0.5%, the bar chart illustrates that certain factors might have detrimental consequences on portfolio performance in the event of a 2 standard deviation shock. For instance, with a two SD negative shock,

- World GDP Growth will lead to an estimated quarterly change in the investment performance of -1.8%, thereby triggering the quarterly portfolio threshold of -0.5%.
- RBA Cash Rate will lead to an estimated quarterly change in the investment performance of -0.2%,
- US EPS Growth will lead to an estimated quarterly change in the investment performance of -0.0%,
- Australian EPS Growth will lead to an estimated quarterly change in the investment performance of -0.0%,
- Credit Spread will lead to an estimated quarterly change in the investment performance of -0.2%,

-
- Gold will lead to an estimated quarterly change in the investment performance of -0.3%,
 - Oil will lead to an estimated quarterly change in the investment performance of 0.3%,
 - AUDUSD will lead to an estimated quarterly change in the investment performance of -1.0%, thereby triggering the quarterly portfolio threshold of -0.5%.
 - Carbon Emission_lag1yr will lead to an estimated quarterly change in the investment performance of 0.1%,

Recommendation

- It is recommended to review the association between the portfolio performance and risk factors on an annual basis.
- It is hereby recommended that the factor triggers be monitored on a quarterly basis. In the event that the trigger levels are breached, the portfolios shall be rebalanced accordingly.

7.5 Methodology

7.5.1 Scenario Stress Testing

Extensive scenario testing of investment returns, the frequency and depth of drawdowns, and investment objective based on the SAA has been conducted for Atchison.

- 20-year historical analysis has incorporated actual asset class returns generated for each annual period to June 2025
- Forecast analysis has utilised randomly generated returns to generate large number of possible scenarios, each simulating asset class performance over periods in alignment with the options' specific investment objectives

Cholesky modelling has been employed to forecast a set of randomly correlated asset class returns in collaboration with the Asset Consultant asset class return and volatility forecast and the Monte Carlo Simulation modelling to test large number of investment return simulations. A brief overview of the Cholesky decomposition and Monte Carlo Simulation follows.

7.5.2 Cholesky Modelling

Cholesky modelling generates a series of randomly correlated returns on basis of historical asset class returns. The underlying assumption is that correlation of future returns will be similar to historical correlations.

Below is a brief overview of the steps involved in Cholesky modelling.

- A matrix of historical correlation between asset classes has been calculated over a 20-year period to June 2025. This historical correlation informs the Cholesky decomposition
- A large set of uncorrelated return scenarios are generated using the expected return and volatility of return profile of asset classes
- The Cholesky decomposition technique transforms the set of uncorrelated returns into returns that are similarly correlated to the historical correlation matrix

The Cholesky decomposition is commonly used in conjunction with Monte Carlo simulation to run a large range of scenarios. Results of the scenarios are analysed from a statistical perspective.

7.5.3 Monte Carlo Simulation Analysis

Monte Carlo simulation is a widely used technique in scenario analysis. Analysis has been conducted by performing 1,000 iterations of randomly generated, Cholesky decomposition correlated asset class returns series.

The model subsequently generates a series of probable outputs, from which the average or mean, ranges and 95% confidence limit for a particular test can be observed.

Monte Carlo simulation is a widely used mathematical technique that allows financial analysts and investment managers to account for variability in their process, thus enhancing quantitative analysis and decision-making processes.

7.6 Historical Analysis – Results

The proposed and recommended SAA for Atchison has been stress tested on basis of historical annual asset class returns to June 2025. The analysis assumes that Atchison is rebalanced to the proposed and recommended SAA on an annual frequency.

The analysis is founded on gross market returns from asset classes and therefore does not take into account the active management of asset classes or sub-classes.

7.6.1 Historical Drawdowns

Atchison has been stress tested through historical drawdown periods. Table 29 demonstrates the market and the Atchison performances during these periods.

Table 29: Historical Drawdown

Categories	Emerging Market Debt Crisis (07/1997-08/1998)%	Tech Reck (03/2000-10/2002)%	Global Financial Crisis (11/2007-02/2009)%	European Debt Crisis (01/2009-12/2010)%	Taper Tantrum (05/2013-08/2013)%	Covid-19 Market Drawdown (12/2019-04/2020)%	Inflation Spike (01/2022-10/2022)%
Alternatives - Growth	-5.2	28.3	-4.5	-25.0	8.1	2.8	-4.7
Cash	5.5	14.6	9.0	7.9	0.7	0.3	0.7
Australian Shares	-5.5	5.9	-46.0	47.3	5.3	-16.5	2.0
International Shares	23.7	-35.6	-34.2	1.3	7.4	-6.2	-8.6
Real Assets	12.2	12.1	-58.5	17.0	-0.5	-18.0	-13.3
Alternatives	0.0	0.0	-4.2	-0.8	5.5	-0.5	-0.2
Long Duration	9.1	24.5	12.0	12.4	-0.7	2.9	-10.0
Floating Rate	3.9	15.6	3.2	13.8	0.7	0.2	0.5
Atchison Dynamic 20 Current SAA	7.0	14.7	-0.6	13.0	1.1	-0.8	-4.7
Atchison Dynamic 20 Recommended SAA	7.1	12.2	-1.6	13.3	1.3	-1.1	-3.9
Atchison Dynamic 20 P1	7.9	16.6	-2.6	14.2	0.4	-1.4	-6.5
Atchison Dynamic 20 P2	5.0	15.3	1.6	8.9	1.7	-0.1	-2.4
Atchison Dynamic 40 Current SAA	7.1	9.5	-10.0	14.2	2.3	-3.2	-4.7
Atchison Dynamic 40 Recommended SAA	7.7	6.2	-11.6	15.3	2.4	-3.7	-4.2
Atchison Dynamic 40 P1	5.5	13.9	-12.6	19.3	1.7	-4.7	-5.3
Atchison Dynamic 40 P2	7.9	4.9	-6.4	6.8	3.2	-1.6	-3.1
Atchison Dynamic 55 Current SAA	6.7	8.0	-16.7	13.5	3.0	-4.8	-5.0
Atchison Dynamic 55 Recommended SAA	8.2	2.4	-19.6	16.7	3.0	-5.9	-4.6
Atchison Dynamic 55 P1	6.0	10.1	-20.7	20.6	2.3	-6.9	-5.6
Atchison Dynamic 55 P2	7.6	2.1	-11.9	6.3	4.2	-2.7	-3.2
Atchison Dynamic 70 Current SAA	6.9	4.1	-23.6	13.6	3.8	-6.6	-4.9
Atchison Dynamic 70 Recommended SAA	8.8	-2.3	-27.0	17.8	3.8	-7.9	-4.7
Atchison Dynamic 70 P1	5.2	6.6	-25.9	17.5	3.6	-7.8	-4.9
Atchison Dynamic 70 P2	7.1	2.5	-20.2	8.8	4.2	-5.2	-4.3
Atchison Dynamic 85 Current SAA	7.0	-1.5	-29.3	15.0	5.1	-8.0	-4.5
Atchison Dynamic 85 Recommended SAA	9.2	-8.9	-33.2	19.3	5.1	-9.4	-4.2
Atchison Dynamic 85 P1	5.0	1.3	-36.3	26.6	4.1	-11.4	-4.2
Atchison Dynamic 85 P2	7.3	-3.0	-22.5	5.3	6.1	-4.9	-4.0
Atchison Dynamic 95 Current SAA	7.0	-7.0	-35.0	16.4	6.3	-9.4	-3.9
Atchison Dynamic 95 Recommended SAA	9.2	-13.3	-37.2	20.7	6.0	-10.4	-3.7
Atchison Dynamic 95 P1	4.6	-3.2	-43.3	28.8	5.0	-13.4	-3.1
Atchison Dynamic 95 P2	8.5	-8.0	-28.7	6.2	6.9	-6.3	-4.7

Conclusion

- During the GFC drawdown period, Atchison Dynamic 20 Current SAA would have generated a return of -0.6%, Atchison Dynamic 40 Current SAA would have generated a return of -10.0%, Atchison Dynamic 55 Current SAA

would have generated a return of -16.7%, Atchison Dynamic 70 Current SAA would have generated a return of -23.6%, Atchison Dynamic 85 Current SAA would have generated a return of -29.3%, Atchison Dynamic 95 Current SAA would have generated a return of -35.0%, mainly driven by the significant underperformances of growth assets in the recession

- During the Covid-19 drawdown period, Atchison Dynamic 20 Current SAA would have generated a return of -0.8%, Atchison Dynamic 40 Current SAA would have generated a return of -3.2%, Atchison Dynamic 55 Current SAA would have generated a return of -4.8%, Atchison Dynamic 70 Current SAA would have generated a return of -6.6%, Atchison Dynamic 85 Current SAA would have generated a return of -8.0%, Atchison Dynamic 95 Current SAA would have generated a return of -9.4%, as global quarantine measures disrupted the business supply chain and deteriorated revenue, leading to poor returns for most assets
- During the Inflation Spike 2022 drawdown period, Atchison Dynamic 20 Current SAA would have generated a return of -4.7%, Atchison Dynamic 40 Current SAA would have generated a return of -4.7%, Atchison Dynamic 55 Current SAA would have generated a return of -5.0%, Atchison Dynamic 70 Current SAA would have generated a return of -4.9%, Atchison Dynamic 85 Current SAA would have generated a return of -4.5%, Atchison Dynamic 95 Current SAA would have generated a return of -3.9%, as rising yields and widening spreads caused bond valuations to reverse resulting in unprecedented losses

7.6.2 Environmental Drawdowns

In accordance with the Prudential Standard SPG 530 Investment Governance, November 2022, APRA expects an RSE licensee to demonstrate an understanding of the risk and opportunities present in a range of Environmental, Social and Governance (ESG) factors. To which extent they may have a material impact on the financial risk-return profile of the RSE's licensee's investment portfolio, including an assessment of climate risk exposures. In this respect the asset consultant has considered major environmental drawdown periods for each investment option e.g. nuclear disasters, hurricanes, oil leaks and other extreme climate conditions. Table 30 evaluates the impact of the major historical environmental events on climate change and the performance of the investment options.

Table 30: Environmental Drawdown

Categories	Deepwater Horizon (04/2010-09/2010)%	Fukushima a Nuclear Disaster (02/2011-03/2011)%	Hurricane Sandy (09/2012-11/2012)%	Hurricane Harvey (07/2017-09/2017)%	Amazon Wildfires (12/2018-10/2019)%	Australian Bushfire Season (08/2019-03/2021)%	Eastern Australia floods (01/2022-04/2022)%
Alternatives - Growth	-4.4	-1.2	-0.5	2.9	9.7	14.4	-6.6
Cash	2.0	0.4	0.6	0.3	1.3	0.7	-0.0
Australian Shares	-2.5	0.7	3.3	0.8	22.4	8.7	8.2
International Shares	-3.8	-1.9	0.2	4.2	22.2	19.9	-9.5
Real Assets	0.7	-2.1	2.6	1.8	23.4	-6.6	0.3
Alternatives	0.8	0.1	0.8	2.1	8.7	13.2	-2.6
Long Duration	5.2	0.5	0.7	0.1	7.9	0.2	-6.2
Floating Rate	2.5	0.5	1.1	0.5	2.6	2.5	-0.3
Atchison Dynamic 20 Current SAA	2.4	0.2	1.0	0.7	8.2	3.1	-2.8
Atchison Dynamic 20 Recommended SAA	2.3	0.2	1.0	0.8	8.0	3.7	-2.5
Atchison Dynamic 20 P1	3.1	0.1	1.1	0.6	9.2	1.5	-3.2
Atchison Dynamic 20 P2	1.6	0.2	0.8	0.8	6.0	3.9	-2.1
Atchison Dynamic 40 Current SAA	1.1	-0.1	1.1	1.1	11.4	5.3	-2.4
Atchison Dynamic 40 Recommended SAA	1.1	-0.1	1.2	1.2	11.6	5.8	-2.2
Atchison Dynamic 40 P1	1.7	0.1	1.5	0.8	12.5	3.3	-1.3
Atchison Dynamic 40 P2	0.2	-0.2	0.7	1.5	9.1	7.5	-3.2
Atchison Dynamic 55 Current SAA	0.2	-0.3	1.2	1.5	13.4	6.2	-2.2
Atchison Dynamic 55 Recommended SAA	0.3	-0.3	1.4	1.5	14.3	6.9	-1.9
Atchison Dynamic 55 P1	0.9	-0.1	1.7	1.1	15.2	4.2	-0.9
Atchison Dynamic 55 P2	-0.8	-0.4	0.7	1.9	11.3	9.5	-3.3

Atchison Dynamic 70 Current SAA	-0.8	-0.5	1.3	1.8	15.6	7.8	-1.9
Atchison Dynamic 70 Recommended SAA	-0.7	-0.5	1.5	1.9	16.9	8.4	-1.6
Atchison Dynamic 70 P1	-0.5	-0.4	1.6	1.6	16.5	6.9	-0.8
Atchison Dynamic 70 P2	-1.0	-0.6	1.0	2.0	14.1	8.9	-2.6
Atchison Dynamic 85 Current SAA	-2.0	-0.6	1.4	2.2	18.0	10.7	-1.8
Atchison Dynamic 85 Recommended SAA	-1.8	-0.6	1.6	2.3	19.4	11.4	-1.4
Atchison Dynamic 85 P1	-1.3	-0.3	2.1	1.6	20.1	7.7	1.1
Atchison Dynamic 85 P2	-2.7	-0.8	0.8	2.6	15.8	13.4	-3.7
Atchison Dynamic 95 Current SAA	-3.1	-0.7	1.4	2.5	20.2	13.3	-1.5
Atchison Dynamic 95 Recommended SAA	-2.7	-0.7	1.6	2.5	21.0	13.5	-1.2
Atchison Dynamic 95 P1	-2.3	-0.4	2.3	1.9	22.0	9.4	2.1
Atchison Dynamic 95 P2	-3.5	-1.0	0.8	2.9	18.6	15.4	-4.1

In terms of the returns for each option:

- There is no prominent underperformance for each asset class across all the environmental drawdown periods mentioned above
- Some downtrends might be driven by the market drawdown or other economic indicators

7.6.3 Risk Objectives

The number of negative annual returns generated by Atchison over twenty years to June 2025 is shown in Table 14 and a comparison has been made to their respective number of negative annual returns over any 20-year period (Standard Risk Measure) for Atchison.

Table 31: Risk Objectives

Options	Risk Objectives	Negative Annual Returns	Drawdown Years	Risk Objective Met
Atchison Dynamic 20 Current SAA	1 - 2	1	2022	Yes
Atchison Dynamic 20 Recommended SAA	1 - 2	2	2008 2022	Yes
Atchison Dynamic 20 P1	1 - 2	2	2008 2022	Yes
Atchison Dynamic 20 P2	1 - 2	1	2022	Yes
Atchison Dynamic 40 Current SAA	3 - 4	2	2008 2022	Yes
Atchison Dynamic 40 Current SAA Recommended SRM	2 - 3	2	2008 2022	Yes
Atchison Dynamic 40 Recommended SAA	3 - 4	2	2008 2022	Yes
Atchison Dynamic 40 Recommended SAA Recommended SRM	2 - 3	2	2008 2022	Yes
Atchison Dynamic 40 P1	3 - 4	2	2008 2022	Yes
Atchison Dynamic 40 P1 Recommended SRM	2 - 3	2	2008 2022	Yes
Atchison Dynamic 40 P2	3 - 4	2	2008 2022	Yes
Atchison Dynamic 40 P2 Recommended SRM	2 - 3	2	2008 2022	Yes
Atchison Dynamic 55 Current SAA	3 - 4	3	2008 2011 2022	Yes
Atchison Dynamic 55 Recommended SAA	3 - 4	3	2008 2011 2022	Yes
Atchison Dynamic 55 P1	3 - 4	3	2008 2011 2022	Yes
Atchison Dynamic 55 P2	3 - 4	3	2008 2011 2022	Yes
Atchison Dynamic 70 Current SAA	4 - 6	3	2008 2011 2022	Yes
Atchison Dynamic 70 Recommended SAA	4 - 6	3	2008 2011 2022	Yes
Atchison Dynamic 70 P1	4 - 6	3	2008 2011 2022	Yes
Atchison Dynamic 70 P2	4 - 6	3	2008 2011 2022	Yes
Atchison Dynamic 85 Current SAA	4 - 6	3	2008 2011 2022	Yes
Atchison Dynamic 85 Recommended SAA	4 - 6	3	2008 2011 2022	Yes
Atchison Dynamic 85 P1	4 - 6	4	2008 2011 2018 2022	Yes
Atchison Dynamic 85 P2	4 - 6	4	2008 2010 2011 2022	Yes

Atchison Dynamic 95 Current SAA	4 - 6	5	2008 2010 2011 2018 2022	Yes
Atchison Dynamic 95 Recommended SAA	4 - 6	4	2008 2011 2018 2022	Yes
Atchison Dynamic 95 P1	4 - 6	4	2008 2011 2018 2022	Yes
Atchison Dynamic 95 P2	4 - 6	4	2008 2010 2011 2022	Yes

All strategies of Atchison have achieved the number of negative annual returns over the 20-year period to June 2025.

7.6.4 Drawdown Metrics

The table below presents the multi statistical metrics based on gross of fee and tax monthly historical returns.

Table 32: Drawdown Metrics

Option	Gain/Loss Ratio	Skewness	Kurtosis	Percentage of Positive Months
Atchison Dynamic 20 Current SAA	1.09	-0.82	2.03	77.02
Atchison Dynamic 20 Recommended SAA	1.20	-0.88	2.20	76.61
Atchison Dynamic 20 P1	1.07	-0.92	2.82	72.98
Atchison Dynamic 20 P2	1.60	-0.51	0.59	74.60
Atchison Dynamic 40 Current SAA	1.27	-0.92	2.35	66.94
Atchison Dynamic 40 Recommended SAA	1.28	-0.99	2.58	66.94
Atchison Dynamic 40 P1	1.12	-1.10	3.71	66.94
Atchison Dynamic 40 P2	1.31	-0.48	0.44	68.15
Atchison Dynamic 55 Current SAA	1.19	-0.97	2.49	64.92
Atchison Dynamic 55 Recommended SAA	1.13	-1.06	2.86	66.13
Atchison Dynamic 55 P1	1.11	-1.17	3.85	64.52
Atchison Dynamic 55 P2	1.24	-0.52	0.56	65.32
Atchison Dynamic 70 Current SAA	1.12	-0.98	2.45	64.11
Atchison Dynamic 70 Recommended SAA	1.12	-1.08	2.83	64.11
Atchison Dynamic 70 P1	1.10	-1.09	3.12	63.71
Atchison Dynamic 70 P2	1.17	-0.81	1.60	64.11
Atchison Dynamic 85 Current SAA	1.04	-0.93	2.04	64.52
Atchison Dynamic 85 Recommended SAA	1.07	-1.01	2.37	64.11
Atchison Dynamic 85 P1	1.04	-1.18	3.56	63.31
Atchison Dynamic 85 P2	1.13	-0.56	0.69	63.31
Atchison Dynamic 95 Current SAA	1.01	-0.90	1.81	64.52
Atchison Dynamic 95 Recommended SAA	1.03	-0.97	2.11	64.52
Atchison Dynamic 95 P1	1.02	-1.18	3.43	62.90
Atchison Dynamic 95 P2	1.05	-0.60	0.78	64.11

- **Gain/Loss Ratio** The average gain during up months divided by the average loss during down months.
- **Skewness** quantifies the asymmetry of return distribution. Values between -0.5 and +0.5 is Moderately skewed.
- **Kurtosis** measures how often extreme values occur. A value large than 3 indicates higher risk of extreme returns

7.7 Forecast Analysis – Results

7.7.1 Return Analysis

Table 33 shows the return characteristics of the asset allocations using simulated investment returns over their investment horizons correspondingly.

Table 33: Forecast Return Distribution

Investment Option	Min	5% Confidence Interval	50% Confidence Interval	95% Confidence Interval	Max	Standard Deviation
Atchison Dynamic 20 Current SAA	-4.1	-0.3	5.2	10.8	13.4	2.8
Atchison Dynamic 20 Recommended SAA	-3.5	-0.2	5.4	11.0	15.9	2.9
Atchison Dynamic 20 P1	-9.4	-2.0	5.2	12.5	17.3	3.7
Atchison Dynamic 20 P2	-2.2	0.6	5.0	9.4	12.7	2.3
Atchison Dynamic 40 Current SAA	-7.9	-3.2	6.0	15.2	20.1	4.7
Atchison Dynamic 40 Recommended SAA	-12.7	-3.9	6.1	16.0	23.8	5.1
Atchison Dynamic 40 P1	-10.8	-5.4	5.5	16.5	21.3	5.6
Atchison Dynamic 40 P2	-7.4	-3.1	5.6	14.4	18.7	4.5
Atchison Dynamic 55 Current SAA	-12.1	-6.4	6.1	18.7	25.7	6.4
Atchison Dynamic 55 Recommended SAA	-13.4	-6.2	7.0	20.1	30.8	6.7
Atchison Dynamic 55 P1	-14.3	-8.1	6.4	20.9	33.5	7.4
Atchison Dynamic 55 P2	-9.6	-5.2	6.3	17.8	24.3	5.9
Atchison Dynamic 70 Current SAA	-14.8	-9.1	6.0	21.1	29.8	7.7
Atchison Dynamic 70 Recommended SAA	-20.7	-9.1	7.3	23.8	39.4	8.4
Atchison Dynamic 70 P1	-19.8	-9.3	7.0	23.4	31.2	8.4
Atchison Dynamic 70 P2	-16.7	-7.6	6.5	20.5	27.9	7.2
Atchison Dynamic 85 Current SAA	-27.8	-10.5	8.2	26.9	42.2	9.6
Atchison Dynamic 85 Recommended SAA	-24.1	-12.3	7.9	28.1	40.7	10.3
Atchison Dynamic 85 P1	-24.0	-14.2	7.2	28.7	49.5	10.9
Atchison Dynamic 85 P2	-22.1	-9.7	6.7	23.1	30.1	8.4
Atchison Dynamic 95 Current SAA	-28.3	-14.8	7.6	30.0	44.8	11.4
Atchison Dynamic 95 Recommended SAA	-28.5	-14.0	8.2	30.4	46.9	11.3
Atchison Dynamic 95 P1	-30.3	-18.7	7.1	33.0	51.0	13.2
Atchison Dynamic 95 P2	-26.7	-12.8	7.5	27.9	39.4	10.4

With a confidence level of 95%,

- Atchison Dynamic 20 Current SAA is expected to return between -0.3% p.a. and 10.8% p.a., with an average return of 5.2% p.a.
- Atchison Dynamic 20 Recommended SAA is expected to return between -0.2% p.a. and 11.0% p.a., with an average return of 5.4% p.a.
- Atchison Dynamic 40 Current SAA is expected to return between -3.2% p.a. and 15.2% p.a., with an average return of 6.0% p.a.
- Atchison Dynamic 40 Recommended SAA is expected to return between -3.9% p.a. and 16.0% p.a., with an average return of 6.1% p.a.

- Atchison Dynamic 55 Current SAA is expected to return between -6.4% p.a. and 18.7% p.a., with an average return of 6.1% p.a.
- Atchison Dynamic 55 Recommended SAA is expected to return between -6.2% p.a. and 20.1% p.a., with an average return of 7.0% p.a.
- Atchison Dynamic 70 Current SAA is expected to return between -9.1% p.a. and 21.1% p.a., with an average return of 6.0% p.a.
- Atchison Dynamic 70 Recommended SAA is expected to return between -9.1% p.a. and 23.8% p.a., with an average return of 7.3% p.a.
- Atchison Dynamic 85 Current SAA is expected to return between -10.5% p.a. and 26.9% p.a., with an average return of 8.2% p.a.
- Atchison Dynamic 85 Recommended SAA is expected to return between -12.3% p.a. and 28.1% p.a., with an average return of 7.9% p.a.
- Atchison Dynamic 95 Current SAA is expected to return between -14.8% p.a. and 30.0% p.a., with an average return of 7.6% p.a.
- Atchison Dynamic 95 Recommended SAA is expected to return between -14.0% p.a. and 30.4% p.a., with an average return of 8.2% p.a.

7.7.2 Risk Analysis

Table 34 shows the expected number of negative years for the strategic asset allocations relative to their respective number of negative annual returns over any 20-year period as proxied by their current risk disclosures (Standard Risk Measure):

- Forecasted returns and volatility of returns, and
- Simulated 1,000 scenarios of 20-year investment periods. Assessment for the scenario stress testing was conducted on basis of the average number of negative annual returns.

Table 34: Number of Negative Annual Returns in a 20-year Period

Investment Option	Negative Annual Returns
Atchison Dynamic 20 Current SAA	0
Atchison Dynamic 20 Recommended SAA	0
Atchison Dynamic 20 P1	1
Atchison Dynamic 20 P2	0
Atchison Dynamic 40 Current SAA	2
Atchison Dynamic 40 Recommended SAA	2
Atchison Dynamic 40 P1	3
Atchison Dynamic 40 P2	2
Atchison Dynamic 55 Current SAA	3
Atchison Dynamic 55 Recommended SAA	3
Atchison Dynamic 55 P1	4
Atchison Dynamic 55 P2	2
Atchison Dynamic 70 Current SAA	4
Atchison Dynamic 70 Recommended SAA	3
Atchison Dynamic 70 P1	4
Atchison Dynamic 70 P2	3
Atchison Dynamic 85 Current SAA	3
Atchison Dynamic 85 Recommended SAA	4
Atchison Dynamic 85 P1	5
Atchison Dynamic 85 P2	4
Atchison Dynamic 95 Current SAA	5
Atchison Dynamic 95 Recommended SAA	4
Atchison Dynamic 95 P1	6
Atchison Dynamic 95 P2	4

7.8 Trigger levels

Whilst it is proposed that Atchison be reviewed annually, a trigger level has been defined to approximate a loss or minimum return that will erode the level of confidence in achieving the investment objective of Atchison over the defined investment horizon to a probability of less than 50%.

On a quarterly basis, performance of Atchison is to be monitored against the trigger level to ensure that Atchison maintains at least a 50% probability to achieve its investment objective.

A breach of the trigger level i.e. a defined loss or minimum return to be achieved by Atchison between formal annual reviews, should prompt a review of the causes of the loss and/or reconsider the ongoing suitability of Atchison underlying strategy.

Trigger level have been determined for Atchison and provided in Table 35 below.

Table 35: Trigger Levels

Portfolios	Trigger Level(% p.a.)
Atchison Dynamic 20 Current SAA	-1.8
Atchison Dynamic 20 Recommended SAA	-1.7
Atchison Dynamic 40 Current SAA	-4.9
Atchison Dynamic 40 Recommended SAA	-5.4
Atchison Dynamic 55 Current SAA	-7.3
Atchison Dynamic 55 Recommended SAA	-8.5
Atchison Dynamic 70 Current SAA	-9.9
Atchison Dynamic 70 Recommended SAA	-11.4
Atchison Dynamic 85 Current SAA	-12.1
Atchison Dynamic 85 Recommended SAA	-13.8
Atchison Dynamic 95 Current SAA	-14.3
Atchison Dynamic 95 Recommended SAA	-15.4

8 Appendix C - Liquidity Stress Testing

The SIS Act requires an RSE licensee to consider the liquidity of investments when formulating and implementing an investment strategy, while also considering the expected cash flow requirements of the RSE. Given the unique nature and asset allocations, the approach taken to managing liquidity risk is primarily focused on the Atchison meeting its financial obligations and cash flow requirements in the best interests of the Trust members.

The tables below show the liquidity assets allocation of the current SAA in normal and stressed liquidity condition. The assets that cannot be readily liquidated within 30 days are deemed illiquid.

Table 36: Liquidity asset allocation for Atchison Dynamic 20

Liquidity	Current SAA Normal(%)	Current SAA Stressed(%)
Liquid assets (<= 30 days)	100.0	97.5
Illiquid assets (> 30 days)	0.0	2.5

Table 37: Liquidity asset allocation for Atchison Dynamic 40

Liquidity	Current SAA Normal(%)	Current SAA Stressed(%)
Liquid assets (<= 30 days)	100.0	95.0
Illiquid assets (> 30 days)	0.0	5.0

Table 38: Liquidity asset allocation for Atchison Dynamic 55

Liquidity	Current SAA Normal(%)	Current SAA Stressed(%)
Liquid assets (<= 30 days)	100.0	90.0
Illiquid assets (> 30 days)	0.0	10.0

Table 39: Liquidity asset allocation for Atchison Dynamic 70

Liquidity	Current SAA Normal(%)	Current SAA Stressed(%)
Liquid assets (<= 30 days)	100.0	87.5
Illiquid assets (> 30 days)	0.0	12.5

Table 40: Liquidity asset allocation for Atchison Dynamic 85

Liquidity	Current SAA Normal(%)	Current SAA Stressed(%)
Liquid assets (<= 30 days)	100.0	86.0
Illiquid assets (> 30 days)	0.0	14.0

Table 41: Liquidity asset allocation for Atchison Dynamic 95

Liquidity	Current SAA Normal(%)	Current SAA Stressed(%)
Liquid assets (<= 30 days)	100.0	85.0
Illiquid assets (> 30 days)	0.0	15.0

8.1 Liquidity Profile

The tables below indicate the Asset Consultants expected time to liquidate assets within each single asset class and each allocation under a normal and stressed economic environment and the stacked bar charts display the liquidity profile of both the actual and strategic asset allocations under normal and stressed liquidity conditions. The licensee is required to be aware of the likely liquidity of different underlying investment strategies under stressed financial market conditions.

Table 42: Liquidity in days per asset class

Asset Classes	Normal Liquidity (Days)	Stressed Liquidity (Days)
Alternatives - Growth	30.0	365.0
Cash	1.0	1.0
Australian Shares	2.0	10.0
International Shares	5.0	16.5
Real Assets	5.0	12.75
Alternatives	30.0	365.0
Long Duration	5.0	15.0
Floating Rate	5.0	30.0

To interpret the stacked bar chart:

- The X-axis represents the various liquidity periods, including 1 week (1W), 2 weeks (2W), 1 month (1M), 6 months (6M), 1 year (1Y), 2 years (2Y), and longer than 2 years (>2Y).

- The Y-axis represents the percentage of redeemable assets of total assets. The value of 100 indicates that all assets are ready for redemption.
- The sooner the investment option achieves 100% redeemable assets out of total, the more robust its liquidity position.

Atchison Dynamic 20

Table 43: Liquidity in days for investment strategy

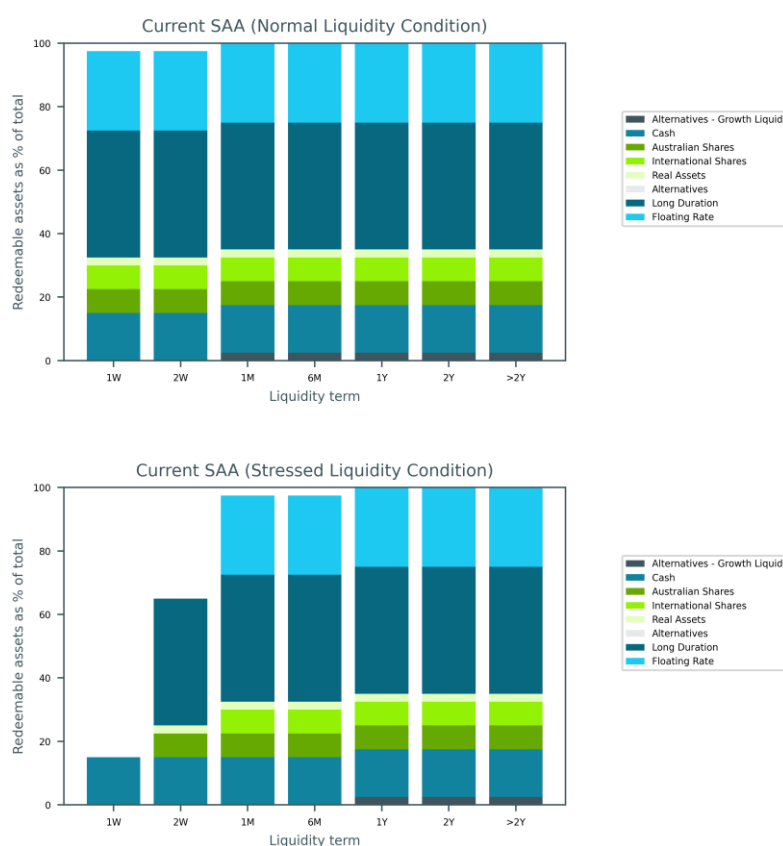
Portfolios	Normal Liquidity (Days)	Stressed Liquidity (Days)
Atchison Dynamic 20 Current SAA	4.8	25.1
Atchison Dynamic 20 Recommended SAA	5.0	28.1
Atchison Dynamic 20 P1	4.7	17.6
Atchison Dynamic 20 P2	6.2	50.1

- Under normal market conditions, on weighted average basis, the recommended strategy is invested 100% in assets with 4.8 days or less liquidity.
- Under stressed market conditions, on weighted average basis, the recommended strategy is invested 100% in assets with 25.1 days or less liquidity.

Figure 19 below shows percentage of assets by asset class, that are liquid illustrated over various time horizons.

- The expected time to liquidate 100% assets for the current SAA is within 1 month under normal market condition but within 1 year under stressed market condition.

Figure 19: Liquidity Profiles of Atchison Dynamic 20



Atchison Dynamic 40

Table 44: Liquidity in days for investment strategy

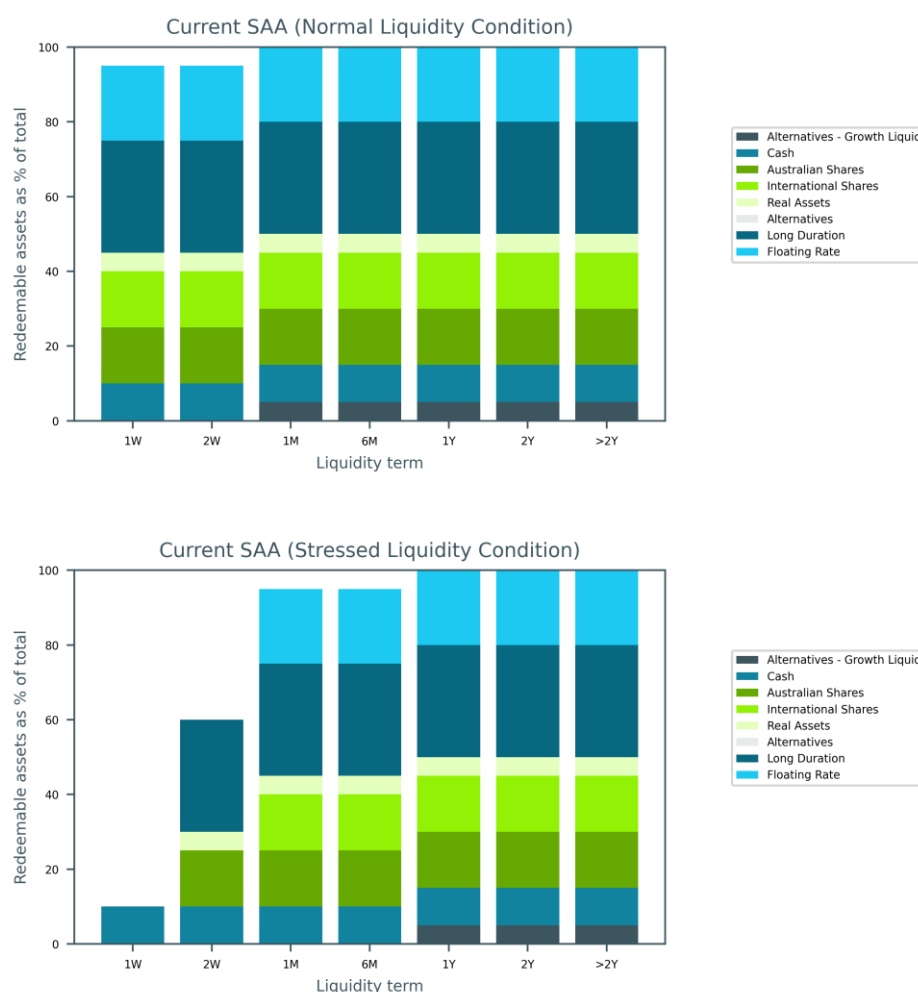
Portfolios	Normal Liquidity (Days)	Stressed Liquidity (Days)
Atchison Dynamic 40 Current SAA	5.4	33.5
Atchison Dynamic 40 Recommended SAA	5.2	30.8
Atchison Dynamic 40 P1	5.1	28.9
Atchison Dynamic 40 P2	6.9	57.3

- Under normal market conditions, on weighted average basis, the recommended strategy is invested 100% in assets with 5.4 days or less liquidity.
- Under stressed market conditions, on weighted average basis, the recommended strategy is invested 100% in assets with 33.5 days or less liquidity.

Figure 20 below shows percentage of assets by asset class, that are liquid illustrated over various time horizons.

- The expected time to liquidate 100% assets for the current SAA is within 1 month under normal market condition but within 1 year under stressed market condition.

Figure 20: Liquidity Profiles of Atchison Dynamic 40



Atchison Dynamic 55

Table 45: Liquidity in days for investment strategy

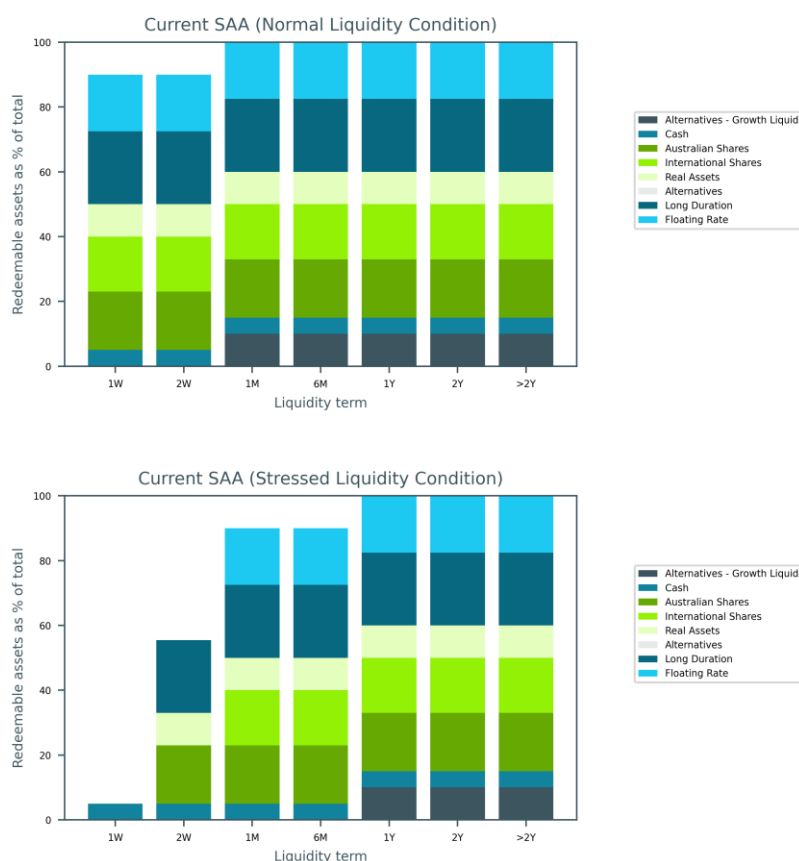
Portfolios	Normal Liquidity (Days)	Stressed Liquidity (Days)
Atchison Dynamic 55 Current SAA	6.8	51.1
Atchison Dynamic 55 Recommended SAA	5.5	34.0
Atchison Dynamic 55 P1	5.0	27.5
Atchison Dynamic 55 P2	8.2	74.6

- Under normal market conditions, on weighted average basis, the recommended strategy is invested 100% in assets with 6.8 days or less liquidity.
- Under stressed market conditions, on weighted average basis, the recommended strategy is invested 100% in assets with 51.1 days or less liquidity.

Figure 21 below shows percentage of assets by asset class, that are liquid illustrated over various time horizons.

- The expected time to liquidate 100% assets for the current SAA is within 1 month under normal market condition but within 1 year under stressed market condition.

Figure 21: Liquidity Profiles of Atchison Dynamic 55



Atchison Dynamic 70

Table 46: Liquidity in days for investment strategy

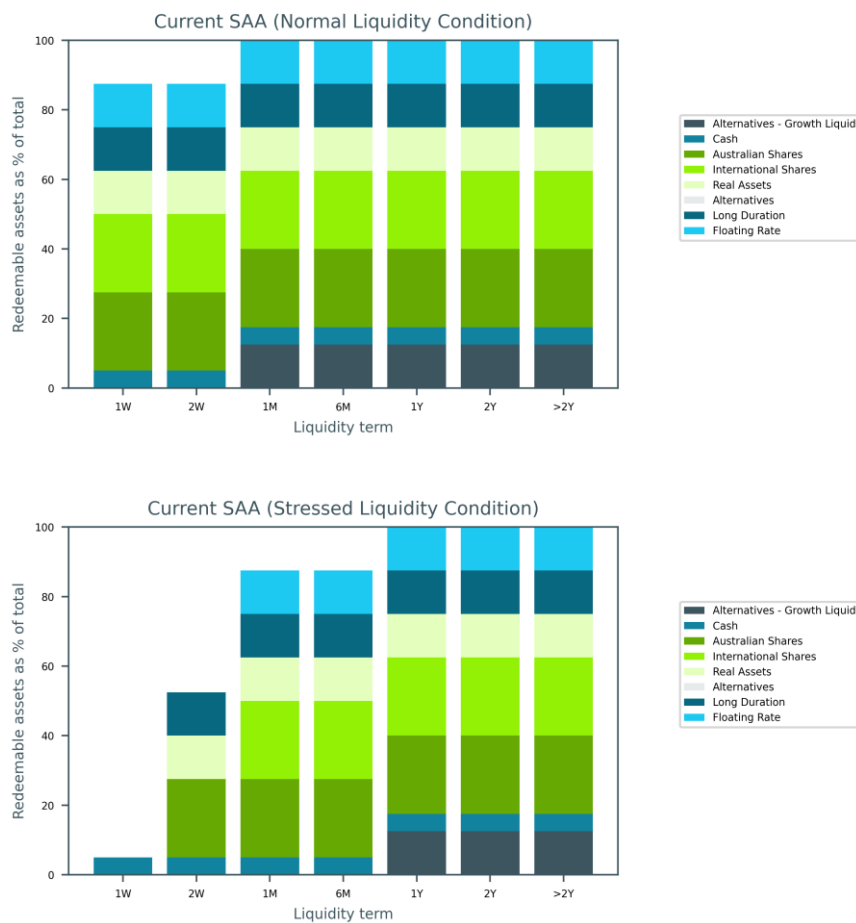
Portfolios	Normal Liquidity (Days)	Stressed Liquidity (Days)
Atchison Dynamic 70 Current SAA	7.2	58.9
Atchison Dynamic 70 Recommended SAA	5.6	36.1
Atchison Dynamic 70 P1	7.8	66.4
Atchison Dynamic 70 P2	9.2	85.2

- Under normal market conditions, on weighted average basis, the recommended strategy is invested 100% in assets with 7.2 days or less liquidity.
- Under stressed market conditions, on weighted average basis, the recommended strategy is invested 100% in assets with 58.9 days or less liquidity.

Figure 22 below shows percentage of assets by asset class, that are liquid illustrated over various time horizons.

- The expected time to liquidate 100% assets for the current SAA is within 1 month under normal market condition but within 1 year under stressed market condition.

Figure 22: Liquidity Profiles of Atchison Dynamic 70



Atchison Dynamic 85

Table 47: Liquidity in days for investment strategy

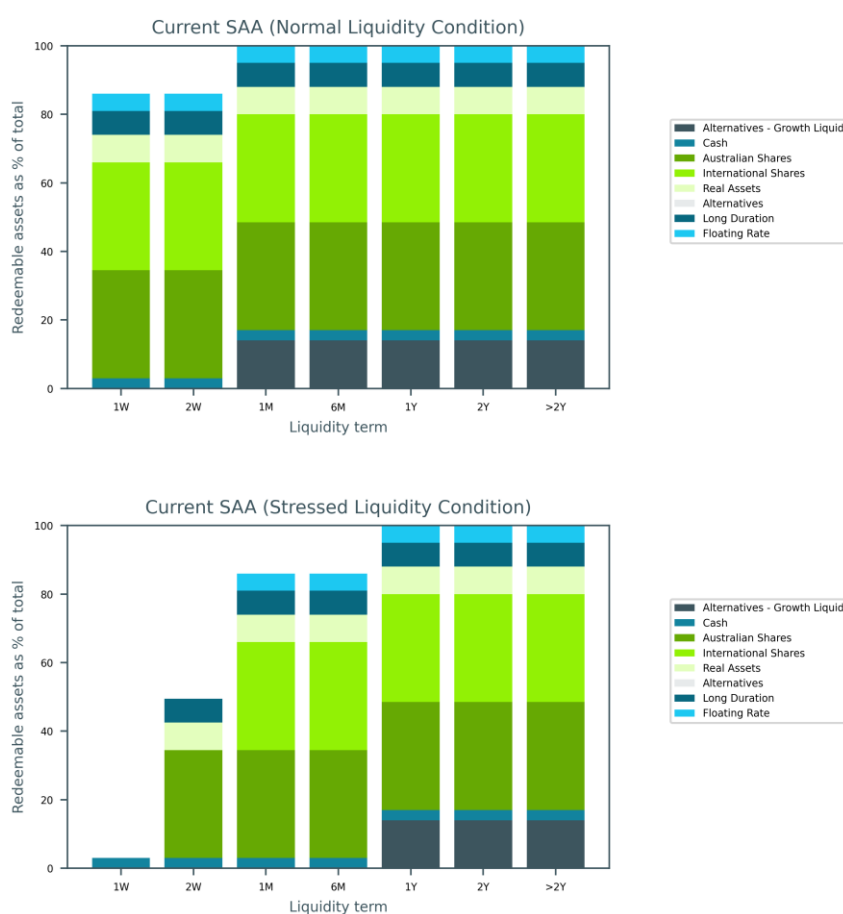
Portfolios	Normal Liquidity (Days)	Stressed Liquidity (Days)
Atchison Dynamic 85 Current SAA	7.4	63.0
Atchison Dynamic 85 Recommended SAA	5.7	38.6
Atchison Dynamic 85 P1	4.6	26.6
Atchison Dynamic 85 P2	10.8	109.0

- Under normal market conditions, on weighted average basis, the recommended strategy is invested 100% in assets with 7.4 days or less liquidity.
- Under stressed market conditions, on weighted average basis, the recommended strategy is invested 100% in assets with 63.0 days or less liquidity.

Figure 23 below shows percentage of assets by asset class, that are liquid illustrated over various time horizons.

- The expected time to liquidate 100% assets for the current SAA is within 1 month under normal market condition but within 1 year under stressed market condition.

Figure 23: Liquidity Profiles of Atchison Dynamic 85



Atchison Dynamic 95

Table 48: Liquidity in days for investment strategy

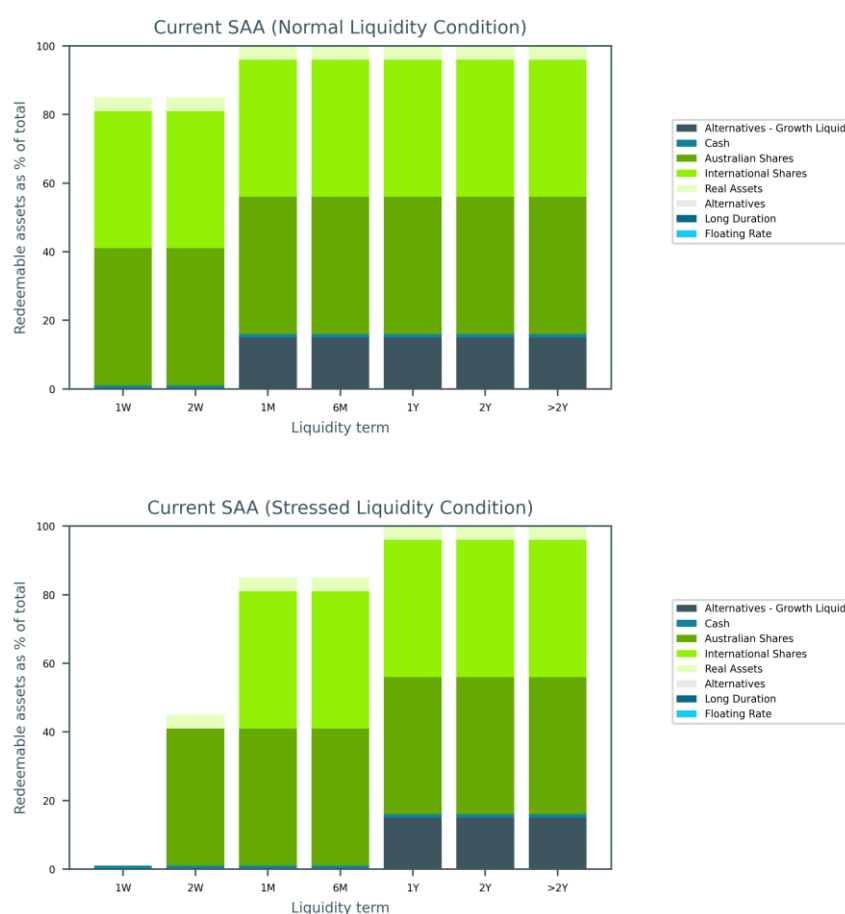
Portfolios	Normal Liquidity (Days)	Stressed Liquidity (Days)
Atchison Dynamic 95 Current SAA	7.5	65.9
Atchison Dynamic 95 Recommended SAA	5.7	41.4
Atchison Dynamic 95 P1	4.3	26.2
Atchison Dynamic 95 P2	11.0	108.8

- Under normal market conditions, on weighted average basis, the recommended strategy is invested 100% in assets with 7.5 days or less liquidity.
- Under stressed market conditions, on weighted average basis, the recommended strategy is invested 100% in assets with 65.9 days or less liquidity.

Figure 24 below shows percentage of assets by asset class, that are liquid illustrated over various time horizons.

- The expected time to liquidate 100% assets for the current SAA is within 1 month under normal market condition but within 1 year under stressed market condition.

Figure 24: Liquidity Profiles of Atchison Dynamic 95



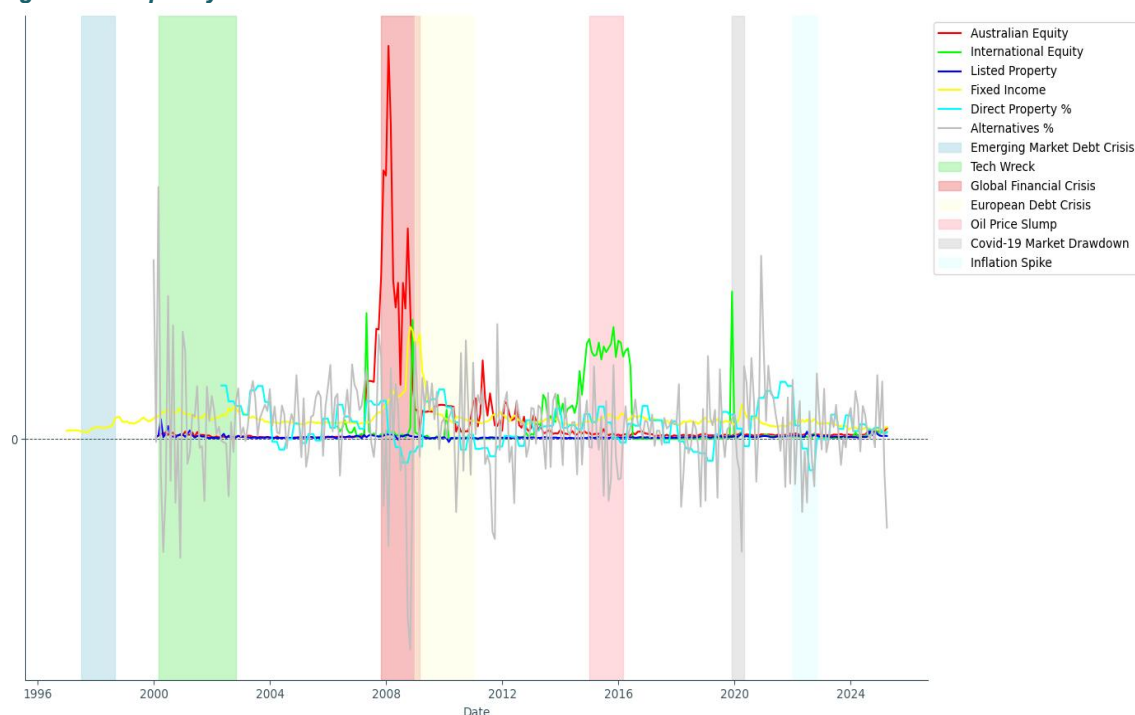
The liquidity analysis was performed across the asset allocations under various liquidity conditions:

- Extreme market conditions would deteriorate the liquidity expectation leading to longer period for Atchison to liquidate 100% of the assets.

8.2 Historical Stressed Liquidity Condition

The figure below illustrates the trend of historical bid-ask spread for asset classes under extreme market conditions. When investigating historical liquidity, the liquidity of Australian Equities, International Equities, Listed Property, and Fixed Income is assessed using the average spread as a proxy, while Alternatives employs weighted return as proxy. The proxy for Direct Property is the price return as a seller's market leads to higher property price, implying a shorter period to redeem an asset.

Figure 25: Liquidity under stressed market conditions



Conclusion

- Bid-ask spreads of assets tend to widen during drawdown periods, indicating reduced market depth and higher transaction costs.
- During periods of financial crisis, the unlisted property market typically shifts towards a buyer's market, leading to deteriorated liquidity across the overall portfolio.

The table below demonstrates relative estimated liquidity expectation in days compared to the value under normal market conditions. Refer to Table 42 for average asset class liquidity expectations.

Table 25: Liquidity in days under historical drawdown period

Options	Emerging Market Debt Crisis	Tech Wreck	Global Financial Crisis	European Debt Crisis	Oil Price Slump	Covid-19 Market Drawdown	Inflation Spike
Australian Equity	2	2	71.8	5.5	2	2	2
International Equity	2	2	2	2	58.2	11	2
Listed Property	5	32.3	23.6	5	5	22.4	33.1
Fixed Income	10	13.1	41.4	20.9	10.2	10.8	10
Direct Property %	365	365	1079.9	365	365	446.2	1155.3

Alternatives %	30	30.4	42.1	30	36.9	38.2	37.5
Atchison Active 20 Current SAA	7.7	10.4	34.1	15.0	12.2	9.5	8.6
Atchison Active 20 Recommended SAA	7.8	10.3	33.7	15.1	13.5	9.7	8.6
Atchison Active 40 Current SAA	7.4	10.3	35.1	13.3	16.2	10.4	9.1
Atchison Active 40 Recommended SAA	7.0	9.9	34.3	12.9	17.5	10.2	8.7
Atchison Active 55 Current SAA	8.2	12.2	36.4	13.2	18.5	12.6	11.8
Atchison Active 55 Recommended SAA	6.7	10.5	35.1	11.6	20.0	11.1	9.7
Atchison Active 70 Current SAA	7.8	12.0	35.2	11.3	21.3	13.2	12.2
Atchison Active 70 Recommended SAA	5.8	9.8	33.8	9.2	22.8	11.2	9.6
Atchison Active 85 Current SAA	7.1	9.7	36.0	9.5	25.8	12.5	10.4
Atchison Active 85 Recommended SAA	4.9	7.4	34.0	7.1	27.6	10.5	7.7
Atchison Active 95 Current SAA	6.3	7.5	36.8	7.7	29.8	11.8	8.5
Atchison Active 95 Recommended SAA	4.3	5.5	34.7	5.8	30.7	9.8	6.1

Conclusion

- The liquidity of the portfolio deteriorates during financial crisis periods.

8.3 Liquidity Risk Management

The Atchison Administrator reports contribution flows and member exits/outflows to the Trustee and investment manager to assist in the early identification of unusual patterns.

In managing liquidity risk the following matters may be included:

- Cash flow projections and past cash flow will be prepared on a regular basis to check the liquidity level needed
- Whether there are appropriate early warning indicators of liquidity risk for the single investment of Atchison, and
- Reporting to the Research and Investment Team, Trustee Investment Committee and Board.

8.3.1 Conclusion

Consideration has been given to the liquidity of the underlying investments in stressed market conditions for Atchison. All Alternatives components across 6 portfolios are deemed illiquid under stressed market conditions.

8.3.2 Recommendation

It is recommended that cash flow requirements are closely monitored to ensure sufficient cash is available to meet liabilities as they arise.

Atchison



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